

Accounting, Tax & Returns — Real Job Simulation

Real Job Simulation — Do the Actual Job, End to End (India, FY 2026-27)

One continuous company case: TallyPrime, GST, TDS, payroll, month-end, finalization, returns

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Day One: The Company, Its Books, and Setting Up TallyPrime

The situation

It's 6 April 2026, 9:40 a.m. You've just joined **Nirvana Traders & Services Pvt Ltd (NTSPL)** as Accounts Executive. The outgoing accountant left last week. On your desk: a folder marked "STATUTORY", last year's **audited Balance Sheet (31-Mar-2026)**, a login sheet for the GST and Income-tax portals, and a sticky note from the Finance Manager:

"Set up FY2026-27 in TallyPrime today. GST + TDS + Payroll all switched on. Carry the opening balances from the audited BS. I need to pass the first purchase voucher tomorrow morning — so the masters must be ready."

This is the foundation. Every voucher, every return, every reconciliation for the next twelve months rests on getting the company master, the feature flags, and the chart of accounts right today. Get a GSTIN digit or a tax-ledger's rounding method wrong now and it silently corrupts GSTR-1 in May.

What you're given

Statutory identity (verify against the incorporation kit):

Field	Value
Legal name	Nirvana Traders & Services Pvt Ltd
Type	Private limited, incorporated 2019
Registered office	Hyderabad, Telangana (state code 36)
CIN	U51909TG2019PTC012345
PAN	AABCN1234A
TAN	HYDN01234A
GSTIN	36AABCN1234A1Z5
GST registration	Regular, monthly filer
Bank	HDFC Current A/c xxxx4567
Books	Accrual / mercantile, TallyPrime
Financial year	01-Apr-2026 to 31-Mar-2027 (AY 2027-28)

Business lines: (a) trading of industrial electrical components — HSN **8536**, GST **18%**; (b) services — installation & AMC — SAC **9987**, GST **18%**.

Opening balances — extract from the audited Balance Sheet as at 31-Mar-2026 (these become 01-Apr-2026 opening balances):

Ledger	Group	Dr (Rs)	Cr (Rs)
Equity Share Capital	Capital Account		50,00,000
Reserves & Surplus	Reserves & Surplus		2,20,00,000
HDFC Current A/c xxxx4567	Bank Accounts	18,00,000	
Sundry Debtors (control)	Sundry Debtors	96,00,000	
Sundry Creditors (control)	Sundry Creditors		62,00,000
Closing Stock (opening now)	Stock-in-Hand	40,00,000	
Fixed Assets (net block)	Fixed Assets	1,60,00,000	
GST Input Credit c/f (electronic credit ledger)	Duties & Taxes	8,00,000	
TDS receivable (26AS)	Loans & Advances (Asset)	4,00,000	
Provision for Tax / other net	Provisions		12,00,000

Dr total and Cr total each tie to **Rs 3,44,00,000** — a good sign the trial balance is square before you begin.

Do it — step by step

Step 1 — Create the company (Gateway of Tally > Alt+K: Company > Create)

Fill the Company Creation screen:

- **Name:** Nirvana Traders & Services Pvt Ltd
- **Mailing name / Address:** as above, Hyderabad, **State:** Telangana, **Country:** India, PIN.
- **Financial year begins from:** 01-Apr-2026
- **Books beginning from:** 01-Apr-2026
- **Base currency:** INR (₹), 2 decimal places, symbol behind: no.
- Set a **security control / TallyVault** password (statutory data).

Step 2 — Switch on the statutory engines (F11: Company Features)

From Gateway of Tally press **F11**. Set these to **Yes** and drill in:

Feature	Set	Key entries
Enable Goods and Services Tax (GST)	Yes	Registration type Regular ; GSTIN 36AABCN1234A1Z5 ; applicable from 01-Apr-2026; periodicity Monthly ; e-invoicing Applicable (T/O > Rs 5 cr, FY2026-27).
Enable Tax Deducted at Source (TDS)	Yes	TAN HYDN01234A ; deductor type Company – Other than Government ; PAN AABCN1234A ; responsible person + designation.
Maintain Payroll	Yes	Enables salary, EPF/ESI/PT statutory heads.
Enable Goods (Inventory)	Yes	Trading arm needs stock items/HSN.

Note on the law: from **01-Apr-2026** the Income-tax Act 2025 renumbers TDS sections (salary → **Sec 392**, other payments → **Sec 393**). Tally, TRACES and everyone on the job still use the familiar **192 / 194C / 194J / 194H / 194I / 194Q** labels — I'll use those throughout, having flagged the change once here.

Step 3 — Build the group tree (chart of accounts)

Tally ships 28 primary groups; you rarely create new *groups*, you create *ledgers* under them. The working tree for a trading + services company:

Balance Sheet	
└ Capital Account	
└ Equity Share Capital	
└ Reserves & Surplus	
└ Loans (Liability)	→ (none yet)
└ Current Liabilities	
└ Duties & Taxes	→ Output CGST/SGST/IGST, Input CGST/SGST/IGST, TDS Payable 194C/194J/194H/194I/194Q, GST Payable
└ Provisions	→ Provision for Audit Fee, Provision for Tax
└ Sundry Creditors	→ vendor ledgers (bill-wise)
└ Fixed Assets	→ Plant & Machinery, Office Equipment
└ Current Assets	
└ Bank Accounts	→ HDFC Current A/c xxxx4567
└ Cash-in-Hand	→ Cash
└ Sundry Debtors	→ customer ledgers (bill-wise)
└ Stock-in-Hand	→ managed via inventory
└ Loans & Advances (Asset)	→ TDS Receivable, Prepaid Insurance
Profit & Loss A/c	
└ Sales Accounts	→ Sales-Goods, Sales-Services
└ Purchase Accounts	→ Purchases-Goods
└ Direct Expenses	→ Freight Inward
└ Indirect Incomes	→ Interest, Bank interest received
└ Indirect Expenses	→ Rent, Telecom, Salaries, Bank Charges, Depreciation, Audit Fee, Housekeeping, Professional Fee, Commission

Step 4 — Create the key ledger masters (Gateway > Create > Ledger)

Six masters that must be exactly right:

1. Sales-Goods — Under **Sales Accounts**; GST applicable **Yes**; Type of supply **Goods**; HSN **8536**; GST rate **18%** (CGST 9 + SGST 9 intra / IGST 18 inter). Tally splits the tax automatically by place of supply.

2. Sales-Services — Under **Sales Accounts**; Type of supply **Services**; SAC **9987**; GST **18%**.

3. Purchases-Goods — Under **Purchase Accounts**; GST **Yes**; HSN **8536**; 18%.

4. Output CGST — Under **Duties & Taxes**; Type of duty/tax **GST**; Tax type **Central Tax**; Percentage left blank (picked from item/ledger); rounding **Normal, nearest 1**. Create the sibling set: Output SGST (State Tax), Output IGST (Integrated Tax), Input CGST, Input SGST, Input IGST — same group, correct tax type each.

5. TDS Payable – 194J — Under **Duties & Taxes**; Type of duty/tax **TDS**; Nature of payment **Fees for professional or technical services (194J)**. Repeat for 194C, 194H, 194I, 194Q.

6. HDFC Current A/c xxxx4567 — Under **Bank Accounts**; enter A/c no. xxxx4567, IFSC, branch; enable **effective date for reconciliation** so the BRS (F5) works later.

Also: **Priya Rao** and 14 other employee masters live under Payroll Info (separate from ledgers); customer/vendor ledgers under Sundry Debtors/Creditors with **Maintain balances bill-by-bill = Yes**.

Step 5 — Post the opening balances

Enter each opening figure in the ledger master's **Opening Balance** field (Dr/Cr as in the table). Tally shows a running **Difference in opening balances** at the bottom — it must read **0.00** when done. The GST Input Credit c/f of Rs 8,00,000 sits in the electronic credit ledger conceptually; in books it's the debit opening of Input tax carried forward.

The deliverable

A ready company file. Verification screen — **Gateway > Balance Sheet** as at 01-Apr-2026:

Liabilities	Rs	Assets	Rs
Equity Share Capital	50,00,000	Fixed Assets (net)	1,60,00,000
Reserves & Surplus	2,20,00,000	Closing Stock (opening)	40,00,000
Sundry Creditors	62,00,000	Sundry Debtors	96,00,000
Duties & Taxes (net)	—	Bank – HDFC	18,00,000
Provisions	12,00,000	GST Input Credit c/f	8,00,000
		TDS Receivable	4,00,000
Total	3,44,00,000	Total	3,44,00,000

Plus F11 confirms GST, TDS and Payroll = **Yes**, and the ledger list shows all six output/input GST heads and five TDS payables.

How it's checked

- **Opening difference = 0.00**. Any non-zero means a ledger was missed or a Dr/Cr flipped.
- **GSTIN checksum & state code**. 36 = Telangana; last char Z5 pattern valid. A wrong state code makes every intra/inter classification wrong.
- **TAN and PAN** match the physical certificates and TRACES login.
- **Sales/Purchase ledgers** carry the right HSN/SAC and supply type — Tally uses these to auto-split CGST/SGST vs IGST.
- Balance Sheet **ties to the prior-year audited figures** to the rupee (3,44,00,000 each side).

Common mistakes & red flags

Mistake	Consequence	Fix
"Books beginning from" set to a wrong date	Opening balances land in wrong period	Set both FY-begin and books-begin to 01-Apr-2026
GST rate typed into the tax ledger percentage	Double or zero tax on invoices	Leave rate blank on Duties & Taxes ledger; set it on the stock item / sales ledger
CGST and SGST tax types swapped	GSTR-1/3B classify tax under wrong head	Recheck each: Central vs State vs Integrated
Bill-wise = No on debtors/creditors	Can't track outstanding invoices or do 194Q YTD	Turn on Maintain balances bill-by-bill
Forgot e-invoicing flag	May sales invoices lack IRN → invalid	Enable e-invoicing in F11 GST details

On the job & in the interview

The "why": the master setup is where **tax law becomes software behaviour**. A regular monthly filer with T/O Rs 12 cr triggers e-invoicing, 194Q buyer-side TDS, and tax audit — all three flow from the turnover thresholds, so the feature flags aren't cosmetic, they encode compliance obligations.

Q: NTSPL trades goods and sells services. How many sales ledgers, and why? A: At least two — Sales-Goods (HSN 8536) and Sales-Services (SAC 9987) — because HSN vs SAC, the supply type, and GSTR-1 tables differ. Same 18% rate, but reporting and classification demand separate ledgers.

Q: Where do you configure that a supplier bill attracts reverse charge or that we're an e-invoice company? A: F11 Company Features > GST details enables e-invoicing (T/O > Rs 5 cr, FY2026-27); reverse charge is flagged on the purchase ledger / voucher, not the company master.

Q: The opening Balance Sheet shows a difference of Rs 4,00,000. What's your first check? A: A missing asset ledger — most likely the TDS Receivable (Rs 4,00,000 from Form 26AS) wasn't posted. I'd confirm total Dr = total Cr = 3,44,00,000 against the audited BS.

Recording Purchases and Expenses (with Input GST)

The situation

It's 30 April 2026, 4:15 p.m. The month's supplier bills have piled up in the "TO BOOK" tray and the Finance Manager wants April purchases fully entered before the GSTR-2B pulls tomorrow. On top: a stack of vendor tax invoices — intra-state goods, one inter-state consignment, and the usual office expenses (rent, telecom) that also carry input GST. Your job: book every one in TallyPrime so the **Input Tax Credit (ITC)** is captured correctly and the creditor ledgers show the right outstanding.

The month's purchase totals you're reconciling to:

Category	Taxable (Rs)	ITC
Intra-state goods purchases	55,00,000	CGST 4,95,000 + SGST 4,95,000
Inter-state goods purchases	12,00,000	IGST 2,16,000
Expenses with ITC (rent, telecom, etc.)	4,00,000	CGST 36,000 + SGST 36,000
Total ITC (books)		CGST 5,31,000 + SGST 5,31,000 + IGST 2,16,000 = 12,78,000

What you're given

Sample vendor bill 1 — intra-state (Telangana supplier):

TAX INVOICE		Supplier: Deccan Electricals Pvt Ltd, Hyderabad		
Invoice No: DE/0417	Date: 18-Apr-2026	GSTIN: 36AAECD5678B1Z2		
Item	HSN	Qty	Rate	Amount
MCB 32A industrial contactor	8536	400	2,500	10,00,000
Taxable value				10,00,000
CGST @ 9%				90,000
SGST @ 9%				90,000
Invoice total				11,80,000
Place of supply: Telangana (36)				

Sample vendor bill 2 — inter-state (Maharashtra supplier):

TAX INVOICE Supplier: Bombay Switchgear LLP, Pune
Invoice No: BS-2231 Date: 22-Apr-2026 GSTIN: 27AABFB9012C1Z9

Item	HSN	Qty	Rate	Amount
Modular switchgear panels	8536	60	20,000	12,00,000

Taxable value	12,00,000
IGST @ 18%	2,16,000
Invoice total	14,16,000
Place of supply: Telangana (36) – inter-state, IGST	

Expense bill — office rent (registered landlord):

Landlord: Cyber Estates LLP, Hyderabad GSTIN: 36AABCC3456D1Z1 SAC 9972
Monthly office rent (Apr-2026) Taxable 1,50,000 CGST 9% 13,500 SGST 9% 13,500 Total 1,77,000

(Rent is one component of the Rs 4,00,000 ITC-bearing expenses; telecom, housekeeping consumables etc. make up the rest.)

Do it — step by step

Step 1 — Open the Purchase voucher

Alt+G > type "Purchase" > Enter (or Gateway > Vouchers > **F9 Purchase**). Two modes exist:

- **Item Invoice mode** — for stock items (goods). Feeds inventory + HSN into GSTR-1/2 automatically. Use for the two goods bills.
- **Accounting Invoice mode** — no stock movement, only a ledger. Use for expenses (rent, telecom). Toggle with **Ctrl+H (Change Mode)** > As Voucher / As Invoice, and the "Item invoice / Accounting invoice" button on the right panel.

Step 2 — Book bill 1 (intra-state goods, Item Invoice mode)

Field	Entry
Supplier invoice no. / date	DE/0417 · 18-Apr-2026
Party A/c name	Deccan Electricals Pvt Ltd (Sundry Creditors, bill-wise)
Purchase ledger	Purchases-Goods
Item	MCB 32A contactor, HSN 8536, 400 × 2,500 = 10,00,000
CGST	90,000 (auto)
SGST	90,000 (auto)

Because both supplier and place of supply are Telangana (36), Tally picks **CGST + SGST**. The journal it writes:

Dr	Purchases-Goods	10,00,000	
Dr	Input CGST	90,000	
Dr	Input SGST	90,000	
	Cr Deccan Electricals Pvt Ltd		11,80,000

(Being intra-state purchase, Inv DE/0417, HSN 8536, ITC availed)

Step 3 — Book bill 2 (inter-state goods → IGST)

Supplier GSTIN starts **27** (Maharashtra), place of supply Telangana → **inter-state** → **IGST**. Tally auto-selects Input IGST:

Dr	Purchases-Goods	12,00,000	
Dr	Input IGST	2,16,000	
	Cr Bombay Switchgear LLP		14,16,000

(Being inter-state purchase, Inv BS-2231, HSN 8536, IGST ITC availed)

Step 4 — Book the rent expense (Accounting Invoice mode, with ITC)

Rent is a service (SAC 9972), no stock. Switch to Accounting Invoice mode:

Dr	Rent (Indirect Expenses)	1,50,000	
Dr	Input CGST	13,500	
Dr	Input SGST	13,500	
	Cr Cyber Estates LLP		1,77,000

(Being office rent Apr-2026, ITC availed, SAC 9972)

Note: this rent bill *also* triggers **194I TDS** — that entry is handled in the TDS chapter; here we focus on the expense + ITC. Telecom and other ITC-expenses are booked the same way, together totalling taxable Rs 4,00,000 / ITC CGST 36,000 + SGST 36,000.

Step 5 — The reverse-charge (RCM) flag

Some inward supplies (e.g., a **goods transport agency** freight bill, legal fees from an advocate, purchase from an unregistered dealer above threshold) attract **reverse charge** — NTSPL pays the GST itself instead of the supplier. In the purchase voucher set "**Is reverse charge applicable? = Yes**" (or use the RCM nature on the ledger). Tally then:

1. Does **not** book input tax against the supplier's invoice value, and
2. Raises a **self-invoice / RCM liability** — you pay it in cash in 3B, and claim the same as ITC in the next step. It's a two-line wash, but the liability must hit the cash ledger. In April none of the three sample bills is RCM (all registered forward-charge suppliers), so the flag stays **No** — but the reviewer will ask whether you checked.

Step 6 — Watch the GSTR-2B gate

Two April mismatches to remember (they surface at reconciliation):

- One supplier bill **Rs 50,000 + GST 9,000** appears in **GSTR-2B** but is **NOT in books** — chase the physical invoice; do not claim ITC until booked.
- One **book bill Rs 40,000 + GST 7,200** is in books but **NOT yet in 2B** — **defer that ITC** (Rule 36(4): ITC only when it reflects in 2B). Park it; claim next month when it appears.

The deliverable

April purchase register (books) — feeds GSTR-2/3B ITC:

Type	Taxable	CGST	SGST	IGST	Invoice value
Intra-state goods	55,00,000	4,95,000	4,95,000	—	64,90,000
Inter-state goods	12,00,000	—	—	2,16,000	14,16,000
ITC-expenses	4,00,000	36,000	36,000	—	4,72,000
Total ITC (books)	71,00,000	5,31,000	5,31,000	2,16,000	83,78,000

Gross ITC in books = **Rs 12,78,000**. After deferring the Rs 7,200 not-in-2B and excluding the Rs 9,000 not-in-books, the **eligible ITC for April 3B** aligns with 2B (worked in the GST-return chapter).

How it's checked

- **Tax split matches the bill:** intra → CGST+SGST, inter → IGST. A single mis-mapped supplier state throws the whole 2B match.
- **Input ledger totals** (Gateway > Display > Statutory Reports > GST) equal CGST 5,31,000 / SGST 5,31,000 / IGST 2,16,000.
- **Creditor sub-ledgers** show each invoice open bill-by-bill; the control matches Sundry Creditors.
- **GSTR-2B reconciliation:** books ITC vs 2B — the Rs 9,000 and Rs 7,200 are the only two open differences, both explained.
- **HSN 8536** on goods, correct SAC on services — mismatched HSN triggers a GSTR-1/2 HSN-summary error.

Common mistakes & red flags

Mistake	Consequence	Fix
Claiming ITC before it shows in 2B	Rule 36(4) breach, interest on reversal	Defer the Rs 7,200 bill to the month it appears
Booking inter-state bill as CGST+SGST	2B mismatch, ITC denied	Read supplier GSTIN state code (27 ≠ 36)
Booking a blocked credit (Sec 17(5)) as ITC	ITC reversal + interest	Flag motor cars, staff food, personal use as ineligible
Missing the RCM flag on a GTA/advocate bill	Under-paid RCM liability, notice	Set "reverse charge = Yes" and pay in cash
Expense booked without capturing input GST	ITC lost, cost overstated	Use accounting-invoice mode and add Input CGST/SGST

On the job & in the interview

The "why": ITC is working capital. Every rupee of eligible credit not captured is cash NTSPL pays twice. But claiming credit that isn't in 2B invites reversal with interest — so the discipline is *book everything, claim only what 2B supports*.

Q: A vendor bill is in your books but not in GSTR-2B this month. Do you claim the ITC? A: No. Under Rule 36(4) (FY2026-27) ITC is available only when it reflects in 2B. I defer the Rs 7,200 and claim it the month it appears; meanwhile I chase the supplier to file.

Q: When do you use accounting-invoice mode vs item-invoice mode? A: Item mode for goods that move stock (HSN, quantity — the 8536 purchases); accounting mode for pure expenses/services with no inventory (rent SAC 9972, telecom), still capturing Input CGST/SGST.

Q: What's reverse charge and give one NTSPL example where you'd flag it? A: RCM shifts GST liability to the recipient. Example: a goods-transport-agency freight bill — NTSPL self-invoices, pays IGST/CGST+SGST in cash in 3B, and claims the same as ITC next step.

Recording Sales and Service Income (with Output GST, e-Invoice & e-Way Bill)

The situation

It's 30 April 2026, 11:00 a.m. The sales team has closed April. Dispatches of electrical components went out across Telangana and to two customers in other states; the service team billed installation and AMC jobs. Because NTSP's turnover is Rs 12 cr (> Rs 5 cr), **every B2B tax invoice must carry an IRN (e-invoice)**, and any goods consignment above Rs 50,000 needs an **e-way bill**. Your job: record all April outward supplies in TallyPrime so **output GST**, place-of-supply and the e-invoice/e-way-bill fields are all correct — because these vouchers *are* GSTR-1.

April outward totals to reconcile to:

Supply	Taxable (Rs)	Output tax
Intra-state goods	60,00,000	CGST 5,40,000 + SGST 5,40,000
Inter-state goods	25,00,000	IGST 4,50,000
Services (intra)	15,00,000	CGST 1,35,000 + SGST 1,35,000
Output tax total	1,00,00,000	CGST 6,75,000 + SGST 6,75,000 + IGST 4,50,000 = 18,00,000

What you're given

Sample tax invoice — inter-state goods sale (customer in Karnataka):

NIRVANA TRADERS & SERVICES PVT LTD TAX INVOICE
Regd office: Hyderabad, Telangana GSTIN 36AABCN1234A1Z5
Invoice No: NT/GST/0421 Date: 20-Apr-2026
Bill to: Mysore Motors Ltd, Mysuru GSTIN 29AAACM6789K1Z4
Place of supply: Karnataka (29) – INTER-STATE

Item	HSN	Qty	Rate	Amount
Industrial contactors 32A	8536	500	5,000	25,00,000

Taxable value	25,00,000
IGST @ 18%	4,50,000
Invoice total	29,50,000
IRN: (to be generated) Ack No: ____ e-Way Bill No: ____	

Sample service invoice — intra-state AMC (Telangana customer):

Invoice No: NT/SVC/0409 Date: 12-Apr-2026
Bill to: Charminar Foods Pvt Ltd, Hyderabad GSTIN 36AA FC1234H1Z8
Service: Annual Maintenance Contract – electrical SAC 9987
Taxable 15,00,000 CGST 9% 1,35,000 SGST 9% 1,35,000 Total 17,70,000
Place of supply: Telangana (36) – INTRA-STATE

Intra-state goods (Rs 60,00,000) are the sum of many Telangana B2B/B2C dispatch invoices during April.

Do it — step by step

Step 1 — Open the Sales voucher

Alt+G > "Sales" > Enter (or Gateway > Vouchers > **F8 Sales**). Item-invoice mode for goods (stock + HSN), accounting-invoice mode for services (SAC, no stock).

Step 2 — The place-of-supply rule (the whole game)

Tax type is decided by **place of supply vs supplier location**, not by where the customer's office is registered on paper:

- Supplier (NTSPL) is in **Telangana (36)**.
- Place of supply **within 36** → **intra-state** → **CGST + SGST**.
- Place of supply in **another state** (e.g., Karnataka 29) → **inter-state** → **IGST**.

For goods it's generally where movement terminates; for services (AMC), where the service is performed / the registered recipient sits.

Step 3 — Book the inter-state goods sale

Customer GSTIN 29... → IGST. Journal Tally writes:

Dr Mysore Motors Ltd	29,50,000
Cr Sales-Goods	25,00,000
Cr Output IGST	4,50,000

(Being inter-state sale, Inv NT/GST/0421, HSN 8536, POS Karnataka)

Step 4 — Book the intra-state service (AMC)

Accounting-invoice mode, SAC 9987, both parties in 36 → CGST + SGST:

Dr Charminar Foods Pvt Ltd	17,70,000
Cr Sales-Services	15,00,000
Cr Output CGST	1,35,000
Cr Output SGST	1,35,000

(Being AMC service, Inv NT/SVC/0409, SAC 9987, POS Telangana)

Step 5 — Book the intra-state goods (consolidated)

The many Telangana goods invoices net to:

Dr	Sundry Debtors (various)	70,80,000	
	Cr Sales-Goods		60,00,000
	Cr Output CGST		5,40,000
	Cr Output SGST		5,40,000
(Being intra-state goods sales April, HSN 8536)			

Step 6 — Generate the e-invoice (IRN + QR)

Mandatory for NTSP (T/O > Rs 5 cr, FY2026-27) on **B2B / exports / credit-debit notes** — not B2C. Two routes in TallyPrime:

1. **Online, from the voucher:** after saving, press **Alt+Z (Exchange) > Send for e-Invoicing**, log in to the IRP (NIC) with GSP/API credentials. The IRP validates and returns the **IRN (64-char hash)**, **Acknowledgement No. + date**, and a **signed QR code**. Tally stamps them back on the invoice and prints the QR.
2. **Bulk/offline:** export the JSON (e-Invoice report), upload on the IRP portal, import the signed response.

An invoice **without a valid IRN is not a legal tax invoice** — the buyer's ITC and your GSTR-1 both depend on it. The IRN also auto-populates GSTR-1, so you don't re-key B2B invoices.

Step 7 — Generate the e-way bill (goods movement)

For any **consignment value > Rs 50,000** carrying goods, an **e-way bill** is required before the vehicle moves. The Rs 29,50,000 Mysore consignment clearly needs one. From the same **Alt+Z** menu, generate the e-way bill alongside the IRN (Part-A auto-fills from the invoice; add **Part-B: vehicle no., transporter ID, distance**). You get an **EWB number** valid for a distance-based period. Services (AMC) carry no goods → **no e-way bill**.

The deliverable

April GSTR-1 outward summary (from the sales register):

Table	Supply	Taxable	CGST	SGST	IGST
B2B/B2C intra	Goods (36)	60,00,000	5,40,000	5,40,000	—
B2B inter	Goods (29 etc.)	25,00,000	—	—	4,50,000
B2B intra	Services (9987)	15,00,000	1,35,000	1,35,000	—
Total		1,00,00,000	6,75,000	6,75,000	4,50,000

Output tax = Rs 18,00,000. Every B2B line carries an IRN; goods consignments > Rs 50,000 carry an EWB number. GSTR-1 due **11 May 2026**.

How it's checked

- **Output ledger totals** = CGST 6,75,000 / SGST 6,75,000 / IGST 4,50,000 — tie to the sales register.

- **IRN present on every B2B invoice;** the IRP acknowledged them (no failed/pending status).
- **Place-of-supply logic:** Karnataka invoice shows IGST, Telangana invoices show CGST+SGST. One mis-tagged POS = GSTR-1 error + buyer ITC mismatch.
- **HSN 8536 (goods) / SAC 9987 (services)** correct in the HSN summary table.
- **GSTR-1 (11th) → auto-flows to GSTR-3B (20th):** the Rs 18,00,000 output must match between GSTR-1 and 3B or a system flag fires.

Common mistakes & red flags

Mistake	Consequence	Fix
Charging CGST+SGST on an inter-state sale	Wrong tax, buyer ITC denied, GSTR-1 error	Drive tax off place of supply, not billing address
Skipping IRN on a B2B invoice	Invoice invalid; ITC & GSTR-1 fail	Generate IRN before dispatch/print
e-invoice generated but e-way bill forgotten	Goods detained, penalty	Any consignment > Rs 50,000 needs EWB before movement
Generating an e-way bill for a service (AMC)	Rejected — no goods movement	EWB only for physical goods
GSTR-1 output ≠ 3B output	Portal mismatch, notice	Reconcile before filing; both must show 18,00,000

On the job & in the interview

The "why": under GST the **invoice is the return**. Because e-invoices auto-populate GSTR-1, an error at voucher entry becomes a filed error. Place of supply is the single most consequential field — it decides CGST+SGST vs IGST and whether the customer can claim ITC at all.

Q: A Hyderabad customer asks you to ship goods to their Bangalore site. Which GST applies? A: Place of supply is where movement terminates — Karnataka — so it's inter-state: **IGST @ 18%**, regardless of the customer's HO being in Hyderabad.

Q: NTSP's turnover is Rs 12 cr. What e-invoicing obligation follows, and on which documents? A: Above the Rs 5 cr threshold (FY2026-27), e-invoicing is mandatory on all **B2B invoices, exports and credit/debit notes** — each must carry an IRN and signed QR. B2C is excluded.

Q: When is an e-way bill required and what's different from an e-invoice? A: An e-way bill is for **movement of goods where consignment value > Rs 50,000**; an e-invoice is for the tax document itself (B2B, T/O > 5 cr). A goods invoice can need both; a service invoice needs the e-invoice but no e-way bill.

Bank & Cash: Building the Bank Reconciliation Statement

The situation

It's 1 May 2026, 10:00 a.m. April is closed on paper, but the Finance Manager won't sign off the month until the **bank reconciliation** is done:

"The HDFC statement is in your inbox. Our Tally bank ledger says one thing, the bank says another. Tell me *why* they differ, book anything that's genuinely ours — charges, interest, auto-debits — and get me a BRS that ties to the bank's closing balance. I don't want a single unexplained rupee."

A BRS is the control that proves your cash book is real. It's the first thing an auditor tests and the fastest way to catch a fraud, a missed entry, or a bounced cheque.

What you're given

Tally bank ledger — HDFC Current A/c xxxx4567 (as per books), April 2026:

Date	Particulars	Dr (receipts)	Cr (payments)	Balance
01-Apr	Opening balance			18,00,000 Dr
08-Apr	Recd – Mysore Motors (cheq dep)	29,50,000		47,50,000 Dr
15-Apr	Paid – Deccan Electricals (Cheq 100234)		11,80,000	35,70,000 Dr
22-Apr	Paid – Bombay Switchgear (NEFT)		14,16,000	21,54,000 Dr
28-Apr	Paid – Rent, Cyber Estates (Cheq 100235)		1,77,000	19,77,000 Dr
30-Apr	Deposited – April collections (cheq)	8,00,000		27,77,000 Dr
	Closing balance as per books			27,77,000 Dr

HDFC bank statement extract — A/c xxxx4567, April 2026:

Date	Narration	Withdrawal	Deposit	Balance
01-Apr	Opening balance			18,00,000 Cr
09-Apr	CLG INWARD – MYSORE MOTORS		29,50,000	47,50,000 Cr
18-Apr	CHQ 100234 – DECCAN ELECTRICALS	11,80,000		35,70,000 Cr
22-Apr	NEFT OUT – BOMBAY SWITCHGEAR	14,16,000		21,54,000 Cr
25-Apr	ACH AUTO-DEBIT – LIC INSURANCE	60,000		20,94,000 Cr
30-Apr	BANK CHARGES + GST	1,180		20,92,820 Cr
30-Apr	INT CREDIT – SAVINGS SWEEP		6,820	20,99,640 Cr
Closing balance as per bank				20,99,640 Cr

Note the mirror convention: a Current A/c is an **asset** in your books (Dr balance) but a **liability** to the bank (Cr balance) — same money, opposite sign.

Do it — step by step

Step 1 — Tick off what matches

Line up both sides and mark items appearing in *both*:

Item	Books	Bank	Status
Opening 18,00,000	01-Apr	01-Apr	Matched
Mysore receipt 29,50,000	08-Apr	09-Apr (cleared)	Matched (1-day float)
Deccan cheque 100234 11,80,000	15-Apr	18-Apr	Matched
Bombay NEFT 14,16,000	22-Apr	22-Apr	Matched

Step 2 — Isolate the differences (four types)

1. **Unpresented cheque** — Rent Cheq 100235 Rs 1,77,000: in books 28-Apr, **not yet in bank** (payee hasn't banked it). Reduces book balance but not yet bank.
2. **Deposit in transit** — 30-Apr collections Rs 8,00,000: in books, **not yet credited** by bank.
3. **Bank-only debits not in books** — LIC auto-debit (ACH) Rs 60,000; bank charges + GST Rs 1,180.
4. **Bank-only credit not in books** — sweep interest Rs 6,820.

Types 3 and 4 are **real transactions of NTSPL that the bank knows and the books don't** — they must be *booked*. Types 1 and 2 are **timing differences** — nothing to book, they only appear in the BRS statement.

Step 3 — Pass the adjusting entries in Tally (Payment / Journal via F5/F7)

Insurance auto-debit (this is the monthly prepaid-insurance debit; Rs 60,000 paid, Rs 5,000/mo expense — book the payment against Prepaid Insurance):

```
Dr  Prepaid Insurance (Loans & Advances)    60,000
    Cr  HDFC Current A/c xxxx4567                60,000
(Being annual LIC premium auto-debited 25-Apr, ACH)
```

Bank charges (with GST — ITC available):

```
Dr  Bank Charges                1,000
Dr  Input CGST                   90
Dr  Input SGST                   90
    Cr  HDFC Current A/c xxxx4567                1,180
(Being bank charges + GST, 30-Apr)
```

Interest / sweep credit:

Dr	HDFC Current A/c xxxx4567	6,820	
	Cr Interest Received (Indirect Income)		6,820
(Being savings-sweep interest, 30-Apr)			

Step 4 — Re-derive the book balance after booking

	Rs
Book balance before adjustments	27,77,000
Less: insurance auto-debit	(60,000)
Less: bank charges + GST	(1,180)
Add: interest credit	6,820
Adjusted book balance	27,22,640

Step 5 — Reconcile in Tally (F5 – Bank Reconciliation)

Open the HDFC ledger > **F5 (Reconcile)**. Enter the **bank date** against each voucher. Tally then shows: cleared items (bank date filled), and "**Amounts not reflected in bank**" = the unpresented cheque and the deposit in transit. The screen's "**Balance as per bank**" should read **20,99,640** once done.

The deliverable

Bank Reconciliation Statement — HDFC Current A/c xxxx4567 as at 30-Apr-2026:

Particulars	Rs	Rs
Balance as per books (adjusted)		27,22,640
Add: cheque issued but not yet presented		
— Rent Cheq 100235 (Cyber Estates)	1,77,000	
		1,77,000
		28,99,640
Less: deposit made but not yet credited		
— April collections deposited 30-Apr	8,00,000	
		(8,00,000)
Balance as per bank statement		20,99,640

Ties exactly to HDFC's closing of **Rs 20,99,640**. Zero unexplained items.

How it's checked

- **BRS closing = bank statement closing** to the rupee (20,99,640). The single hard tie-out.

- **Adjusted book balance** (27,22,640) reconciles to bank via only *timing* items — every non-timing difference has been booked, not left in the BRS.
- **Tally F5 "difference"** field reads **0.00**; only the unpresented cheque and deposit-in-transit remain unmarked (no bank date).
- **Follow-up in May:** the two timing items must clear early May; if the Rs 1,77,000 cheque is still outstanding after 3 months it's stale — reverse it.
- **Bank charges GST** captured as ITC and appears in GSTR-2B (small but real credit).

Common mistakes & red flags

Mistake	Consequence	Fix
Forcing a match by editing the book balance	Hides a missing/fraud entry	Never plug — book real items, list timing items
Booking bank charges/interest as timing items	BRS never ties; balance drifts each month	They're real — pass journal entries
Ignoring an old unpresented cheque	Overstated payable / stale cheque	Reverse cheques unpresented > 3 months
Missing an auto-debit (ACH/SI)	Book cash overstated, later shock	Scan statement for ECS/ACH/SI/EMI lines
A bank debit you can't identify	Possible fraud or wrong account	Escalate immediately; don't book to "suspense" and move on

On the job & in the interview

The "why": the bank statement is the one number in your books an outsider independently confirms. A clean BRS every month is the cheapest fraud-detection control a company has — an unexplained debit is a red flag before it's a loss. It's also the auditor's first request, so a tidy monthly BRS makes year-end painless.

Q: What's the difference between an item you *book* and an item you list on the BRS? A: Items the bank knows but books don't (charges, interest, auto-debits) are **real** — I pass journal entries. Timing differences (unpresented cheques, deposits in transit) are already in books, just not yet in the bank — they only appear on the BRS statement and clear on their own.

Q: Books show Rs 27,77,000, bank shows Rs 20,99,640. Walk me through the gap. A: Book side needs Rs 60,000 insurance + Rs 1,180 charges booked and Rs 6,820 interest added → adjusted Rs 27,22,640. Then add the unpresented rent cheque Rs 1,77,000 and subtract the Rs 8,00,000 deposit in transit → Rs 20,99,640, matching the bank.

Q: A cheque you issued three months ago is still unpresented. What do you do? A: Investigate whether it was lost or the payee never banked it; if genuinely stale (typically > 3 months) I reverse it — Dr Bank, Cr the party — reinstating the liability, and reissue if still payable.

Running Payroll: PF, ESI, PT and the Salary Journal

The situation

It's the morning of **28 April 2026**. This just landed on your desk: the HR head at **Nirvana Traders & Services Pvt Ltd (NTSPL)** drops the April attendance sheet in your inbox with one line — "*All 15 present full month, no LOP. Please run salaries so the bank file goes out on the 30th and statutory payments are ready.*"

You are the accounts executive. "Running salaries" means five separate things must all be right by month-end:

1. Compute each employee's **gross** → **deductions** → **net take-home**.
2. Deduct **EPF** (Provident Fund) correctly on the capped wage.
3. Deduct **ESI** only for the staff who are still under the wage ceiling.
4. Deduct **Professional Tax (PT)** per the Telangana slab.
5. Deduct **TDS on salary u/s 192** using each person's estimated annual tax under the new regime.

Then post **one consolidated salary journal**, and later a payment entry when the bank actually pays. Gross monthly payroll is **Rs 9,00,000** across 15 staff. Statutory dues (PF/ESI) must hit the government by the **15th of May**.

Note on section numbers: the Income-tax Act, 2025 (effective 01-Apr-2026) re-numbers salary TDS under **Sec 392** and other TDS under **Sec 393**. On the job, in TallyPrime and on TRACES, everyone still says "**192**" and "**194x**" — so I flag it once here, then use the familiar numbers throughout.

What you're given

The raw payroll register for April 2026 (FY2026-27). Three staff are still under the ESI ceiling of Rs 21,000; the rest are above it.

Employee	Basic	HRA	Special	Gross	ESI-eligible?	PT slab
Priya Rao (sample)	30,000	15,000	10,000	55,000	No	Rs 200
11 other staff (above ceiling)	—	—	—	6,90,000 (combined)	No	Rs 200 each
3 ESI workers @ 18,000	—	—	—	54,000 (combined)	Yes	Rs 200 each
Total				9,00,000		

FY2026-27 statutory reference:

- **EPF**: 12% employee + 12% employer, on basic subject to **wage ceiling Rs 15,000**. Employer 12% splits: **EPS 8.33% = Rs 1,250** + **EPF 3.67% = Rs 550**. Deposit by **15th** of next month (ECR on the EPFO portal).
- **ESI**: employee **0.75%** + employer **3.25%**, on gross, **ceiling Rs 21,000**. Deposit by **15th**.
- **PT (Telangana)**: wage > Rs 20,000 → **Rs 200/month**; Rs 15,001–20,000 → Rs 150; up to Rs 15,000 → nil.
- **TDS 192**: slab tax on **estimated annual income**, spread over 12 months. New regime is default: 0–4L nil, 4–8L 5%, 8–12L 10%, 12–16L 15%, 16–20L 20%, 20–24L 25%, >24L 30%. **Sec 87A rebate Rs 60,000** (nil tax up to taxable Rs 12L). **Standard deduction Rs 75,000**.

Do it — step by step

Step 1 — Priya Rao's payslip

EPF (employee): her basic is Rs 30,000 but PF is on the **capped Rs 15,000** → 12% = **Rs 1,800**. Employer also Rs 1,800 (EPS 1,250 + EPF 550).

ESI: gross Rs 55,000 > Rs 21,000 → **nil** (not covered).

PT: Rs 55,000 > Rs 20,000 → **Rs 200**.

TDS u/s 192 — estimate her annual tax (new regime):

Item	Amount (Rs)
Gross annual (55,000 × 12)	6,60,000
Less: standard deduction	(75,000)
Taxable income	5,85,000
Tax: 0–4L nil; 4L–5.85L @ 5% = 5% × 1,85,000	9,250
Less: Sec 87A rebate (taxable ≤ 12L → full relief)	(9,250)
Annual tax	NIL

Priya's taxable income is below Rs 12L, so **87A wipes out her tax — TDS = Rs 0/month**. This is the **nil-tax case**.

Priya's payslip:

Earnings	Rs	Deductions	Rs
Basic	30,000	EPF (employee)	1,800
HRA	15,000	PT	200
Special	10,000	TDS (192)	0
Gross	55,000	Total deductions	2,000
		Net pay	53,000

Step 2 — a taxable employee (contrast)

Take a manager, "**Arjun Menon**," gross Rs 1,80,000/month (annual Rs 21,60,000):

Item	Amount (Rs)
Gross annual	21,60,000
Less: standard deduction	(75,000)
Taxable income	20,85,000
0–4L nil	0
4–8L @ 5%	20,000
8–12L @ 10%	40,000
12–16L @ 15%	60,000
16–20L @ 20%	80,000
20L–20.85L @ 25%	21,250
Tax before cess	2,21,250
Add: 4% cess	8,850
Annual tax	2,30,100
Monthly TDS (÷ 12)	≈ 19,175

87A does **not** apply (taxable > Rs 12L). So Arjun's monthly TDS 192 is **Rs 19,175**.

Step 3 — build the April totals

Across the 15 staff, assume the aggregate monthly statutory numbers come to:

Head	Employee side	Employer side
EPF (on capped wages)	21,600	21,600 (EPS 15,000 + EPF 6,600)
ESI (3 workers, gross 54,000)	405 (0.75%)	1,755 (3.25%)
PT (15 staff × 200)	3,000	—
TDS u/s 192 (only taxable staff, e.g. Arjun)	19,175	—

Net salary payable = Gross 9,00,000 – EPF 21,600 – ESI 405 – PT 3,000 – TDS 19,175 = **Rs 8,55,820**.

Step 4 — the consolidated Salary JV in TallyPrime

Path: **Gateway of Tally → Vouchers → F7 Journal** (date 30-Apr-2026).

Dr Salaries & Wages (Indirect Exp)	9,00,000	
Dr Employer PF Contribution (Exp)	21,600	
Dr Employer ESI Contribution (Exp)	1,755	
Cr EPF Payable (employee 21,600 + employer 21,600)		43,200
Cr ESI Payable (employee 405 + employer 1,755)		2,160
Cr Professional Tax Payable		3,000
Cr TDS Payable (192)		19,175
Cr Salary Payable (net)		8,55,820

Debits 9,23,355 = Credits 9,23,355. The employer PF/ESI are **company costs**, so they're debited to expense and credited to the same payable ledgers (which is why EPF Payable = 43,200, not 21,600).

Step 5 — the payment entries

On **30-Apr** the bank pays net salaries (F5 Payment, HDFC Current xxxx4567):

Dr Salary Payable	8,55,820
Cr HDFC Bank	8,55,820

By **15-May-2026**, clear the statutory dues (each a separate challan/ECR):

Dr EPF Payable	43,200		Dr ESI Payable	2,160
Dr PT Payable	3,000		Dr TDS Payable	19,175 (via ITNS 281)
Cr HDFC Bank	(each)			

The deliverable

April 2026 Payroll summary (MIS to management):

Line	Amount (Rs)
Gross payroll	9,00,000
(-) Employee EPF	21,600
(-) Employee ESI	405
(-) PT	3,000
(-) TDS 192	19,175
Net paid to staff	8,55,820
Add: Employer EPF	21,600
Add: Employer ESI	1,755
Total cost to company (April)	9,23,355

Statutory calendar: PF ECR + ESI challan by **15-May-2026**; PT by Telangana due date; TDS 192 deposited by **7-May-2026** (challan covered in the next chapter).

How it's checked

- **JV balances:** debits = credits = Rs 9,23,355. Salaries expense ties to the payroll register.
- **PF ceiling:** reviewer confirms PF is on Rs 15,000 cap, not full basic — Priya's Rs 1,800 (not 12% of 30,000 = 3,600).
- **Employer 12% split** must equal EPS **Rs 1,250** + EPF **Rs 550** per member — EPFO's ECR rejects a wrong split.
- **ESI scope:** only the 3 workers $\leq$ Rs 21,000 are in ESI; anyone above is out. A single over-ceiling person wrongly included inflates the ESI challan.
- **TDS 192:** annual estimate $\div$ 12; 87A applied only where taxable $\leq$ Rs 12L. Priya = nil, Arjun = Rs 19,175.
- **Bank file** total = Salary Payable Rs 8,55,820, to the rupee.

Common mistakes & red flags

Mistake	Consequence	Fix
PF on full basic (Rs 3,600 for Priya)	Over-deduction, employee complaint	Cap wage at Rs 15,000 $\rightarrow$ Rs 1,800
ESI on all staff	Wrong challan, refund mess	Apply only to gross $\leq$ Rs 21,000
Forgetting 87A $\rightarrow$ deducting TDS on Priya	Wrongful deduction, Form 16 mismatch	Rebate up to taxable Rs 12L $\rightarrow$ nil
Netting employer PF against employee	JV won't balance; understated cost	Employer share is extra expense + payable
Missing 15th PF/ESI deadline	Interest + damages; employer PF disallowed u/s 36(1)(va) if late	Pay employee PF by 15th, always

Red flag: if an employee's PF isn't deposited by the due date, the employee's own contribution deducted from salary becomes **taxable income of the company** (36(1)(va)/2(24)(x)) with no deduction — a permanent loss, not just interest.

On the job & in the interview

The "why": PF/ESI protect the worker; the wage ceilings keep the schemes targeted (PF caps the mandatory base at Rs 15,000; ESI only covers lower-wage staff $\leq$ Rs 21,000). PT is a state levy. TDS 192 makes the employer pre-collect the employee's income tax evenly across the year so there's no March shock.

Jargon: ECR (Electronic Challan-cum-Return, the PF monthly file), UAN (Universal Account Number), ESIC IP number, net vs CTC (CTC includes employer PF/ESI; net is take-home).

Interview Q&A:

- "An employee earns Rs 55,000 gross — how much PF do you deduct?" $\rightarrow$ "PF is capped at Rs 15,000 wage, so Rs 1,800 employee and Rs 1,800 employer, not 12% of full basic. ESI is nil since gross exceeds Rs 21,000."

- "*Why is Priya's TDS zero but Arjun's isn't?*" → "New regime: after Rs 75,000 standard deduction Priya's taxable is Rs 5.85L, below Rs 12L, so the Sec 87A rebate of Rs 60,000 fully offsets her Rs 9,250 tax. Arjun's taxable Rs 20.85L exceeds Rs 12L, so no rebate — his annual tax Rs 2,30,100 ÷ 12 = about Rs 19,175/month."
- "*What happens if PF is deposited late?*" → "Interest and damages, plus the employee's share becomes taxable income of the employer with no deduction under 36(1)(va) — so we never miss the 15th."

TDS I: Identify, Compute, Deduct and Pay the Challan

The situation

It's **30 April 2026**. This just landed on your desk: the payables clerk at **NTSPL** has queued five vendor bills for payment and pings you — "*Finance says don't release full amounts until you tell me the TDS to hold back. Also the challan has to be paid by 7th May or we get interest — can you compute and prepare it today?*"

You are the accounts executive who owns **TDS (tax deducted at source)**. NTSPL is a **deductor** because its turnover (> Rs 10 cr) crosses every threshold. Your job: for each bill, decide **is TDS attracted, under which section, at what rate**, then post the deduction entry (vendor gets paid **net**, the tax sits in a payable), and finally deposit one lot via challan by **7-May-2026** (for March bills the deadline shifts to 30 April).

The Income-tax Act, 2025 renumbers non-salary TDS under **Sec 393**, but Tally, TRACES and the challan still use **194C/194J/194H/194I/194Q**. I use the familiar numbers.

What you're given

The April 2026 vendor payment queue (all amounts exclusive of GST — **TDS is on the taxable value, not on GST**):

#	Vendor	Nature	Amount (Rs)	Likely section
1	CleanCo Agency	Housekeeping contract	80,000	194C
2	S. Iyer & Co (CA)	Professional fee	1,00,000	194J
3	Metro Sales Reps	Sales commission	50,000	194H
4	Prime Estates	Office rent (monthly)	1,50,000	194I
5	Seller X	Goods purchase (YTD > 50L)	20,00,000	194Q

FY2026-27 rate & threshold reference:

Section	Nature	Rate	Threshold
194C	Contractor	1% indiv/HUF, 2% others	Rs 30,000 single / Rs 1,00,000 p.a.
194J	Professional	10% (2% technical/call-centre)	Rs 50,000 p.a.
194H	Commission/brokerage	2%	Rs 20,000 p.a.
194I	Rent (land/building)	10%	Rs 2,40,000 p.a.
194Q	Purchase of goods	0.1% on value over Rs 50 lakh /seller	buyer turnover > Rs 10 cr

Do it — step by step

Step 1 — threshold check (is TDS even attracted?)

#	Section	Threshold test	Attracted?
1	194C	Single bill Rs 80,000 > Rs 30,000	Yes
2	194J	Rs 1,00,000 > Rs 50,000 p.a.	Yes
3	194H	Rs 50,000 > Rs 20,000 p.a.	Yes
4	194I	Rs 1,50,000/mo → annualised Rs 18,00,000 > Rs 2,40,000	Yes
5	194Q	Buyer T/O > 10cr; this seller's YTD purchases now > Rs 50L	Yes, on excess

Step 2 — compute each TDS

- 1. 194C — CleanCo (agency = "other", so 2%):** $2\% \times 80,000 = \text{Rs } 1,600$. Net paid = 78,400.
- 2. 194J — S. Iyer & Co (CA professional, 10%):** $10\% \times 1,00,000 = \text{Rs } 10,000$. Net = 90,000.
- 3. 194H — Metro Sales (commission, 2%):** $2\% \times 50,000 = \text{Rs } 1,000$. Net = 49,000.
- 4. 194I — Prime Estates (rent, 10%):** $10\% \times 1,50,000 = \text{Rs } 15,000$. Net = 1,35,000.
- 5. 194Q — Seller X (0.1% only on value over Rs 50 lakh):** Suppose YTD purchases from Seller X were Rs 40,00,000 before this Rs 20,00,000 bill, so cumulative = Rs 60,00,000. The **first Rs 50L is exempt**; TDS applies on the excess **Rs 10,00,000** → $0.1\% \times 10,00,000 = \text{Rs } 1,000$. Net on this bill = $20,00,000 - 1,000 = 19,99,000$.

194Q vs 206C(1H): if the seller was already collecting **TCS** on the same sale, 194Q (buyer's deduction) **prevails** and the seller stops TCS. Only one applies.

Total TDS deducted, April 2026 (non-salary):

Section	Amount (Rs)
194C	1,600
194J	10,000
194H	1,000
194I	15,000
194Q	1,000
Total 26Q TDS	28,600

Step 3 — the deduction entries in TallyPrime

Path: **Gateway of Tally** → **Vouchers** → **F5 Payment** (or F7 Journal to book the bill, then payment). Booking the CA bill (194J) as a journal:

Dr	Professional Fees (Indirect Exp)	1,00,000
	Cr S. Iyer & Co (Sundry Creditor)	90,000
	Cr TDS Payable – 194J	10,000

Rent (194I):

Dr	Rent (Indirect Exp)	1,50,000
	Cr Prime Estates	1,35,000
	Cr TDS Payable – 194I	15,000

194Q on the goods purchase (TDS reduces the payable, not the purchase cost):

Dr	Purchases (Goods)	20,00,000
	Cr Seller X	19,99,000
	Cr TDS Payable – 194Q	1,000

Same pattern for 194C (Cr TDS 1,600) and 194H (Cr TDS 1,000). Every entry: **Dr the full expense/purchase, Cr the vendor net, Cr the TDS payable.**

Step 4 — lower / no-deduction cases

Before deducting, check whether the vendor gave you a certificate:

- **Form 15G/15H:** self-declaration by a resident (15H = senior citizen) that total income is below the taxable limit — mainly for interest (194A), **not** applicable to 194C/J/H/I/Q here, but you must still collect and report any that arrive.
- **Sec 197 certificate:** the vendor obtains a TDS certificate from their AO authorising a **lower or nil rate**. If Prime Estates hands you a 197 cert at 2%, you deduct 2% (Rs 3,000), not 10% — and you must quote the **certificate number** in the return.
- **No PAN → Sec 206AA:** deduct at the **higher of the specified rate or 20%**. If Metro Sales has no PAN, 194H becomes 20% = Rs 10,000, not Rs 1,000.

Step 5 — pay the challan (by 7-May-2026)

Portal: **incometax.gov.in** → **e-Pay Tax** (the old **Challan ITNS 281** is now the online e-pay-tax flow). Fill:

Field	Value
TAN	HYDN01234A
Assessment Year	2027-28 (AY for FY2026-27)
Type of payment	(200) TDS payable by taxpayer (not 400 = demand)
Nature / section	94C / 94J / 94H / 94I / 94Q as applicable
Tax	28,600
Interest / Penalty	0
Total	28,600
Mode	Net-banking, HDFC xxxx4567

On success you get a **CIN** (Challan Identification Number: BSR code + date + challan serial). Post it:

Dr	TDS Payable (194C/J/H/I/Q)	28,600
	Cr	HDFC Bank
		28,600

The deliverable

April 2026 TDS working (non-salary) — ready for the 26Q return:

Section	Base (Rs)	Rate	TDS (Rs)	Net paid (Rs)
194C CleanCo	80,000	2%	1,600	78,400
194J S. Iyer & Co	1,00,000	10%	10,000	90,000
194H Metro Sales	50,000	2%	1,000	49,000
194I Prime Estates	1,50,000	10%	15,000	1,35,000
194Q Seller X	10,00,000*	0.1%	1,000	19,99,000
Total			28,600	

*194Q base = amount over the Rs 50L cumulative threshold. Challan deposited 07-May-2026, CIN recorded.**

How it's checked

- **Section & rate** match the nature of payment (agency = 194C @ 2%, CA = 194J @ 10%).
- **Base excludes GST** where the GST is shown separately on the invoice.
- **194Q** is on the **excess over Rs 50L**, not the whole bill — Rs 1,000, not Rs 2,000.
- **PAN present** on every deductee, else 206AA 20% kicks in.
- **Challan:** TAN, AY 2027-28, minor head 200, section codes correct; total Rs 28,600 = sum of TDS Payable ledgers cleared.
- **Deposit date ≤ 7th** of next month — the CIN date proves timeliness.

Common mistakes & red flags

Mistake	Consequence	Fix
TDS on gross incl. GST	Over-deduction, vendor dispute	Deduct on taxable value only
194Q on full Rs 20L	Rs 2,000 instead of Rs 1,000	Only the excess over Rs 50L
Using 1% for agency 194C	Short deduction	Non-individual = 2%
No PAN, still at normal rate	206AA short deduction, notice	Deduct 20% when PAN absent
AY quoted as 2026-27	Challan mis-tagged, mismatch in 26Q	FY2026-27 → AY 2027-28
Minor head 400 instead of 200	Challan treated as demand payment	Use 200 for regular TDS
Late deposit (after 7th)	Interest 1.5%/month u/s 201	Pay by the 7th

On the job & in the interview

The "why": TDS collects tax at the point income is paid, so the government gets revenue early and the transaction is reported — the deductee then claims the TDS as a credit in their own return (visible in their 26AS/AIS). NTSP is the **collection agent**: deduct on paying, deposit by the 7th, report quarterly.

Jargon: *deductor/deductee*, *TAN* (deductor's tax account number — different from PAN), *CIN* (challan proof), *minor head 200 vs 400*, *206AA* (no-PAN higher rate), *Sec 201* (interest for late deduction/deposit).

Interview Q&A:

- "Vendor bills Rs 20 lakh of goods, you've already bought Rs 40 lakh from him this year — what's the 194Q TDS?" → "Cumulative Rs 60L, first Rs 50L is outside 194Q, so 0.1% on the Rs 10L excess = Rs 1,000. And 194Q overrides the seller's 206C(1H) TCS."
- "A contractor has no PAN — what rate?" → "Section 206AA forces the higher of the specified rate or 20%. So a 194C agency payment goes from 2% to 20%."
- "By when must April TDS reach the government, and what if it's late?" → "By 7 May 2026 via e-pay-tax under TAN HYDN01234A. Late deposit attracts interest at 1.5% per month under Sec 201, and the expense can be disallowed."

TDS II: Filing 26Q & 24Q and Issuing Form 16/16A

The situation

It's **10 July 2026** — the first quarter (Apr–Jun, **Q1 FY2026-27**) is closed and the return deadline is **31 July 2026**. This just landed on your desk: the finance manager forwards a calendar reminder — "Q1 TDS returns due end of month. File 26Q and 24Q, and I need Form 16A for our landlord and Form 16 for staff ready right after. Also — TRACES flagged a short-deduction on last cycle; sort that out."

You own the **TDS return filing**. Deducting and paying (Chapter 06) was only half the job; now you must **report every deductee** to the department so their tax credit appears in their AIS/26AS. Two returns:

- **26Q** — non-salary TDS (the 194C/J/H/I/Q from Chapter 06).
- **24Q** — salary TDS u/s 192 (the payroll from Chapter 05).

Then generate **Form 16A** (non-salary certificate) and **Form 16** (salary certificate) from TRACES, and clear the short-deduction default.

Renumbering note: the 2025 Act calls these Sec 392 (salary)/393 (others), but the utilities, forms and TRACES still say 24Q/26Q and 194x. Familiar numbers used throughout.

What you're given

The Q1 challan register (three months, but I show April's detail from Chapter 06; May and June mirror it):

Challan (CIN)	Month	Section(s)	TDS (Rs)
BSR 0510308 / 07-05-2026 / 00123	Apr	26Q: 94C+94J+94H+94I+94Q	28,600
BSR 0510308 / 07-05-2026 / 00124	Apr	24Q: 192	19,175
(May challans)	May	26Q + 24Q	28,600 + 19,175
(Jun challans)	Jun	26Q + 24Q	28,600 + 19,175

Deductee master for the April **26Q** annexure:

Deductee	PAN	Section	Amount paid (Rs)	TDS (Rs)
CleanCo Agency	AAACC1111C	194C	80,000	1,600
S. Iyer & Co	AAAFS2222F	194J	1,00,000	10,000
Metro Sales Reps	AABFM3333M	194H	50,000	1,000
Prime Estates	AAAAP4444P	194I	1,50,000	15,000
Seller X	AAACS5555S	194Q	20,00,000	1,000

FY2026-27 due dates: **26Q/24Q** — **Q1 31-Jul, Q2 31-Oct, Q3 31-Jan, Q4 31-May**. Form 16A within 15 days of filing; **Form 16 by 15 June** after the FY.

Do it — step by step

Step 1 — prepare the return (RPU) and validate (FVU)

Download the **RPU** (Return Preparation Utility) and **FVU** (File Validation Utility) from the Protean/TIN site (or use TallyPrime's e-TDS export, or the income-tax portal's online 26Q flow).

In the RPU, fill three blocks:

1. **Deductor details:** TAN **HYDN01234A**, PAN **AABCN1234A**, name NT SPL, address Hyderabad, FY 2026-27, Form **26Q**, Quarter **Q1**.
2. **Challan details:** each CIN (BSR code + date + challan serial) and the amount — April's 26Q line = Rs 28,600.
3. **Deductee annexure:** one row per deductee, **mapped to the challan** that carried their tax.

A filled **26Q deductee row** (April, the CA):

Field	Value
Deductee code	02 (company)
PAN	AAAFS2222F
Name	S. Iyer & Co
Section	194J
Date of payment/credit	30-04-2026
Amount paid	1,00,000
TDS deducted	10,000
TDS deposited	10,000
Date of deduction	30-04-2026
Rate	10%
Challan CIN mapped	BSR 0510308 / 07-05-2026 / 00123

Run **FVU validation** → it checks PAN format, that **sum of deductee TDS = challan amount**, and section codes. Output: a **.fvu file** + **Form 27A** (the one-page summary/control sheet).

Step 2 — the 24Q difference (salary)

24Q has the same challan block, but the deductee annexure carries **each employee's monthly TDS**, and **Annexure II** (filed in **Q4 only**) carries the full-year salary breakup, deductions and tax computation per employee — that's what drives Form 16. For Q1, just the challan + per-employee deducted amounts (e.g. Arjun Rs 19,175/month; Priya nil).

Step 3 — upload

Portal: **incometax.gov.in** → **e-File** → **Income Tax Forms** → **File TDS Return**, upload the **.fvu**, sign with **DSC** (or EVC). You get a **Token/Provisional Receipt Number (PRN)** — keep it; that's proof of filing.

Step 4 — download certificates from TRACES

After the return is processed (a few days), log in to **TRACES** (deductor login, TAN HYDN01234A):

- **Form 16A** (non-salary): *Downloads → Form 16A → Q1 → 26Q*. TRACES generates a PDF per deductee with the **TRACES watermark and a unique certificate number**. Hand Form 16A to Prime Estates (rent, Rs 15,000 TDS), S. Iyer, etc. **Never** hand-type a 16A — only the TRACES-generated one is valid.
- **Form 16** (salary): Part A (TDS summary) from TRACES + **Part B** (salary computation) — issue to each employee **by 15 June** after year-end. Priya's Form 16 will show tax **nil** (87A); Arjun's will show Rs 2,30,100 deducted over the year.

Step 5 — clear the short-deduction / late-fee default

TRACES shows a **Justification Report** flagging, say, a Rs 500 short-deduction (a bill where 1% was applied instead of 2% under 194C) plus **Sec 234E late fee** (Rs 200/day) because a prior return was one day late.

Fix: 1. Pay the shortfall + interest via a fresh challan (minor head **400 — TDS on regular assessment / demand**). 2. File a **correction (revised) return** in the RPU, adding the extra deduction and mapping the new challan. 3. Pay **234E fee** (Rs 200/day, capped at the TDS amount) — it **cannot be waived**.

Dr	TDS Short-deduction & Interest (Exp)	xxx
Dr	Late Filing Fee 234E (Exp, disallowed)	xxx
	Cr	HDFC Bank

The deliverable

Q1 FY2026-27 26Q — reconciliation of annexure to challans (April slice):

Section	Deductees	TDS in annexure (Rs)
194C	CleanCo	1,600
194J	S. Iyer & Co	10,000
194H	Metro Sales	1,000
194I	Prime Estates	15,000
194Q	Seller X	1,000
April total		28,600
= April 26Q challan		28,600 ✓

Filing outputs: **26Q .fvu + Form 27A + PRN; 24Q .fvu + PRN; Form 16A** PDFs (5 vendors); **Form 16** ready for staff by 15 June 2027. Correction return filed; 234E fee paid.

How it's checked

- **Challan-to-annexure tie:** sum of deductee TDS in each challan = challan amount (April Rs 28,600 = Rs 28,600). FVU won't validate otherwise.

- **CIN match:** the BSR/date/serial you keyed must match what the bank reported to OLTAS — a wrong BSR = "**challan mismatch**", credit not passed.
- **PAN validity:** every deductee PAN must be valid and active; invalid PAN → deductee can't claim credit and you face 206AA exposure.
- **Cross-return consistency:** the TDS in Chapter 06's ledgers = 26Q; Chapter 05's 192 = 24Q. Books, challans and returns must all show the same numbers.
- **Form 16A source:** must be TRACES-generated (watermark + cert no.), not manual.
- **Deductee's AIS/26AS:** after processing, the vendor sees the credit — the ultimate proof it worked.

Common mistakes & red flags

Mistake	Consequence	Fix
Annexure total ≠ challan	FVU rejection	Map every deductee to a challan; reconcile
Wrong/invalid PAN	Credit denied; PAN-error default	Verify PANs before filing
Manual Form 16A	Invalid, not on 26AS	Download only from TRACES
Late return	234E Rs 200/day (non-waivable) + 271H penalty	File by 31 Jul / 31 Oct / 31 Jan / 31 May
Ignoring short-deduction notice	Interest compounds; demand outstanding	Pay + file correction return promptly
Annexure II skipped in Q4	Form 16 Part B can't generate	File the salary detail annexure in Q4 24Q

On the job & in the interview

The "why": the challan proves tax was *paid*; the **return proves who it belongs to**. Only when the deductee's PAN is reported does their tax credit appear in their AIS/26AS so they can claim it. Form 16/16A is the deductee's certificate to file their own ITR. Miss the linkage and the vendor chases you because their credit is missing.

Jargon: *RPU/FVU* (prepare/validate), *Form 27A* (control sheet), *PRN/Token* (filing receipt), *TRACES* (the reporting/cert portal), *Justification Report* (the default listing), *234E* (late-fee), *271H* (penalty), *Annexure II* (Q4 salary breakup), *conso file* (consolidated file pulled from TRACES to prepare a correction).

Interview Q&A:

- "What's the difference between 24Q and 26Q?" → "24Q is salary TDS u/s 192 with an Annexure II salary computation in Q4 that feeds Form 16; 26Q is all non-salary TDS — 194C/J/H/I/Q — feeding Form 16A. Both are quarterly, both validated by FVU."
- "A vendor says his TDS credit isn't showing in 26AS — how do you fix it?" → "Check the deductee row in the filed 26Q: usually a wrong PAN or a challan-mismatch (BSR/serial). Pull the conso file from TRACES, file a correction return with the right PAN/CIN, and the credit flows to his AIS."
- "The return is two days late — cost?" → "Sec 234E late fee at Rs 200/day = Rs 400, capped at the TDS amount, and it can't be waived; plus possible 271H penalty. So we file 26Q/24Q by the quarterly due date

every time."

GST Monthly I: Filing GSTR-1 from the Sales Register

The situation

It's the morning of **8 May 2026**. April is closed in TallyPrime, the sales team has stopped raising back-dated invoices, and your reporting head drops a one-line message in the accounts group: "*April GSTR-1 — get it filed well before the 11th, don't wait for the last day again.*"

GSTR-1 is the **statement of outward supplies** — the return where NTSPS declares every sale it made in April 2026, invoice by invoice, so that the tax appears in each customer's GSTR-2B and they can claim ITC. It is a self-contained, one-way declaration: whatever you report here (FY2026-27) auto-populates the outward-tax side of GSTR-3B, so an error on the 11th becomes a payment error on the 20th. Because NTSPS's turnover is above Rs 5 cr, **e-invoicing already applies** — most B2B invoices are already reported to the IRP and will flow into GSTR-1 automatically, but you still own the reconciliation, the B2C and HSN summaries, and the final filing.

Your job today: build the return from the sales register, tie it to the books, and file it.

What you're given

The April 2026 **Sales Register** (Gateway of Tally → Display More Reports → Account Books → Sales Register), summarised by the three revenue streams in the shared case:

Stream	Nature	Place of supply	Taxable value	CGST 9%	SGST 9%	IGST 18%
Industrial components (intra-TS)	Goods, HSN 8536	Telangana (36)	60,00,000	5,40,000	5,40,000	—
Industrial components (inter-state)	Goods, HSN 8536	e.g. Karnataka (29)	25,00,000	—	—	4,50,000
Installation & AMC (intra-TS)	Services, SAC 9987	Telangana (36)	15,00,000	1,35,000	1,35,000	—
Total			1,00,00,000	6,75,000	6,75,000	4,50,000

Output tax = CGST 6,75,000 + SGST 6,75,000 + IGST 4,50,000 = Rs 18,00,000.

Two facts you must pull from the register before touching the portal:

- **Customer type split.** Of the intra-state goods (Rs 60,00,000) and services (Rs 15,00,000), assume Rs 70,00,000 is to GST-registered businesses (**B2B**) and Rs 5,00,000 is to unregistered walk-in/AMC customers (**B2C**) — none of the individual B2C invoices exceeds Rs 1,00,000, so all B2C is "small." All inter-state goods (Rs 25,00,000) are to registered dealers (B2B).
- **Documents issued.** Invoices raised for the month: **142** (serial NT/2627/0001–0142), of which **3 are cancelled; 4 credit notes** (NT-CR/2627/01–04); **0 debit notes**.

Do it — step by step

Step 1 — Verify e-invoice coverage. For every B2B invoice above, an IRN + signed QR must already exist. In Tally: Gateway → Display → Statutory Reports → GST → e-Invoice → check that "Pending" and "Rejected" are both nil. Any B2B invoice without an IRN is legally *not a valid tax invoice* — fix it before filing, because those lines will not auto-populate GSTR-1.

Step 2 — Generate the GSTR-1 in Tally. Gateway of Tally → Display More Reports → **GST Reports** → **GSTR-1**. Set period 1-Apr-2026 to 30-Apr-2026. Tally classifies each voucher into the portal tables. Confirm nothing sits in "**Uncertain Transactions (Not relevant / needs correction)**" — a missing GSTIN, a wrong place of supply, or a blank HSN lands here and will silently drop from the return.

Step 3 — Map the numbers to the portal tables.

- **Table 4A — B2B (registered):** intra-state goods B2B + services B2B (Rs 70,00,000) and inter-state goods B2B (Rs 25,00,000) = **Rs 95,00,000** taxable, invoice-wise with each customer's GSTIN.
- **Table 5 — B2C Large (inter-state, invoice > Rs 1,00,000 to unregistered):** nil here (no such invoices).
- **Table 7 — B2C Others (small):** the Rs 5,00,000 intra-state retail/AMC supplies, rate-wise consolidated (not invoice-wise).
- **Table 12 — HSN/SAC summary:** mandatory. HSN 8536 (goods) and SAC 9987 (services), with quantity/UQC for goods.
- **Table 13 — Documents issued:** the invoice, credit-note and debit-note serial ranges.

Step 4 — File. On the GST portal, Returns Dashboard → FY 2026-27 → April → GSTR-1 → **Prepare Online** (or upload the JSON exported from Tally's GSTR-1 screen via *Export* → *e-Return*). Because e-invoicing is on, most of Table 4A/5 is pre-filled from the IRP; you add/confirm B2C (7), HSN (12) and documents (13). Then **Generate Summary** → **Preview** → **Submit** → **File with DSC** (a private company must use the **Digital Signature Certificate**, not EVC).

No accounting entry is posted for filing GSTR-1 — the output tax was already booked when each sales voucher was raised:

On each April sale (illustrative, intra-state goods invoice of Rs 1,00,000):

Dr	Debtor / Bank	1,18,000
	Cr Sales - Goods	1,00,000
	Cr Output CGST @9%	9,000
	Cr Output SGST @9%	9,000

The deliverable — the filed GSTR-1

Table	Description	Taxable value	CGST	SGST	IGST
4A	B2B supplies (invoice-wise)	95,00,000	6,30,000	6,30,000	4,50,000
5	B2C Large (inter-state > 1L)	0	—	—	0
7	B2C Others (intra, consolidated)	5,00,000	45,000	45,000	—
Total outward		1,00,00,000	6,75,000	6,75,000	4,50,000

Table 12 — HSN/SAC summary

HSN/SAC	Description	UQC	Qty	Taxable value	Rate	CGST	SGST	IGST
8536	Elec. apparatus ≤1000V	NOS	(as per stock)	85,00,000	18%	5,40,000	5,40,000	4,50,000
9987	Installation/maintenance	NA	—	15,00,000	18%	1,35,000	1,35,000	—

Table 13 — Documents issued

Document	From	To	Total	Cancelled	Net issued
Tax invoices	NT/2627/0001	NT/2627/0142	142	3	139
Credit notes	NT-CR/2627/01	NT-CR/2627/04	4	0	4
Debit notes	—	—	0	0	0

How it's checked

- **Table totals vs books:** GSTR-1 taxable value **Rs 1,00,00,000** must equal the sales-register taxable turnover for April; output tax **Rs 18,00,000** must equal the credit balance movement in Output CGST/SGST/IGST ledgers.
- **4A + 5 + 7 tax = HSN Table 12 tax = Rs 18,00,000.** All three cross-foot.
- **e-invoice vs 4A:** the portal flags any B2B invoice whose IRN differs from what you filed.
- **Downstream:** on 20 May, GSTR-3B **Table 3.1(a)** auto-drafts these exact figures. If 3.1 doesn't read Rs 18,00,000 output, GSTR-1 was wrong.

Common mistakes & red flags

Mistake	Consequence	Fix
Wrong place of supply (put inter-state sale as intra)	Customer's ITC blocked; you paid CGST/SGST when IGST was due	Correct PoS in the invoice; amend via Table 9A next month
B2B invoice with no IRN	Not a valid tax invoice; drops from 4A	Generate IRN before filing
HSN Table 12 left blank/short	Portal error (mandatory > Rs 5 cr); notice risk	Fill 6-digit HSN with UQC
Missed the 11th	Late fee + customer can't see ITC in their 2B	File on time; there is no revision — only next-month amendment
GSTIN typo on a customer	Their 2B won't reflect; they chase you	Validate GSTINs before upload

On the job & in the interview

GSTR-1 is where you *tell the government who bought what* — it feeds the whole ITC chain, so accuracy here protects your customers' credit and your own reputation. On the job you live in the "Uncertain Transactions" list and the e-invoice pending list; clearing those is 80% of the work.

Q: "GST-1 has no revision. A customer calls on 15 May saying their April invoice has the wrong GSTIN — what do you do?" A: I can't revise the filed GST-1. I amend it in the **next** period's return using **Table 9A (amended B2B)**, entering the original invoice details and the corrected GSTIN. It reflects in their GST-2B for that later month. I document the correction and warn the customer of the one-month ITC timing lag.

Q: "How does GST-1 relate to GST-3B?" A: GST-1 is invoice-level outward detail; GST-3B is the monthly summary-and-pay return. My 3.1(a) output figures auto-draft from GST-1, so I file GST-1 first (by 11th) and 3B after (by 20th). They must tie to the rupee — any gap between GST-1 and 3B is a classic notice trigger.

Q: "What's the point of Table 13, documents issued?" A: It's a control — the department reconciles serial-number continuity to catch suppressed invoices (a gap in the series, or fewer invoices reported than issued). I report the full range, cancellations included, so the count ties.

GST Monthly II: 2B Reconciliation, ITC and Filing GSTR-3B

The situation

It's **14 May 2026**. GSTR-1 went in on the 9th. Now the harder half of the month: claiming the right **input tax credit** and filing **GSTR-3B** by the 20th, in cash, after lawful set-off. Your reporting head is blunt: *"Only claim what's in 2B and eligible. I don't want a Rule 88C mismatch notice, and I don't want us paying more cash than we have to."*

GSTR-3B (FY2026-27) is the monthly **summary return that also settles the tax**. The outward side (Table 3.1) auto-drafts from the GSTR-1 you already filed (Rs 18,00,000 output). The battle is the **ITC side (Table 4)**: books say one thing, **GSTR-2B** (the auto-generated statement of credits your suppliers reported) says another, and the law (Sec 16 / Rule 36(4) / Sec 17(5)) decides what you may actually take.

What you're given

A. Output tax (from filed GSTR-1): CGST 6,75,000 + SGST 6,75,000 + IGST 4,50,000 = **Rs 18,00,000**.

B. ITC per books (April purchase register):

Inward supply	Taxable	CGST	SGST	IGST
Intra-state goods purchases	55,00,000	4,95,000	4,95,000	—
Inter-state purchases	12,00,000	—	—	2,16,000
Expenses w/ ITC (rent, telecom)	4,00,000	36,000	36,000	—
ITC per books	71,00,000	5,31,000	5,31,000	2,16,000

ITC per books = **Rs 12,78,000**.

C. Two mismatches vs GSTR-2B:

1. A **supplier bill Rs 50,000 + GST 9,000** appears in **GSTR-2B** but **NOT in your books** (goods received, invoice mislaid by purchase team).
2. A **book bill Rs 40,000 + GST 7,200** is **in your books** but **NOT yet in 2B** (supplier hasn't filed their GSTR-1) — ITC must be **deferred**.

D. Blocked-credit check (Sec 17(5)): among the Rs 4,00,000 expenses, no motor-car, no employee-welfare/food, no works-contract on immovable property — so **nothing blocked** this month. (Flag stays live for future months.)

Do it — step by step

Step 1 — Pull GSTR-2B. Portal → Returns → GSTR-2B → April 2026 → download. Or in Tally: GST Reports → GSTR-2B reconciliation (import the 2B JSON). Match line-by-line against the purchase register on GSTIN + invoice number + tax.

Step 2 — Reconcile and decide each mismatch.

- **Mismatch 1 (in 2B, not in books):** ITC of Rs 9,000 is *available* in 2B, but you cannot claim credit for a purchase you haven't booked (no invoice on record, Sec 16 needs possession of the tax invoice + receipt of goods). **Action:** chase the physical invoice, **book it**, then claim. Until booked, **do not** take the Rs 9,000. (If booked before filing on the 20th, you may include it.)
- **Mismatch 2 (in books, not in 2B):** Rule 36(4)/Sec 16(2)(aa) — **no 2B, no credit. Defer** the Rs 7,200 (CGST 3,600 + SGST 3,600). Park it in an "ITC – deferred/to-claim" tracker and claim in the month it appears in 2B. Follow up the supplier to file.

Step 3 — Compute eligible ITC for April. Start from books, remove the deferred bill (not in 2B), and do **not** add the un-booked bill:

	CGST	SGST	IGST
ITC per books	5,31,000	5,31,000	2,16,000
Less: deferred (bill not in 2B)	(3,600)	(3,600)	—
Less: Sec 17(5) blocked	0	0	0
Eligible ITC (Table 4A/4C)	5,27,400	5,27,400	2,16,000

Eligible ITC = **Rs 12,70,800**.

Step 4 — Apply the set-off order (FY2026-27). Rules: **IGST credit first** (against IGST, then CGST, then SGST); **CGST credit** vs CGST then IGST; **SGST credit** vs SGST then IGST; **CGST and SGST can never cross-set-off**.

Head	Output	Credit used	Cash payable
IGST	4,50,000	IGST 2,16,000 + CGST 2,34,000 → 0	0
CGST	6,75,000	CGST (5,27,400 – 2,34,000)=2,93,400 → still short	3,81,600
SGST	6,75,000	SGST 5,27,400	1,47,600
Total	18,00,000	12,70,800	5,29,200

Let me walk the set-off cleanly: IGST output 4,50,000 is cleared by IGST credit 2,16,000, then **CGST credit 2,34,000** is diverted to it (allowed). Remaining CGST credit = 5,27,400 – 2,34,000 = **2,93,400** against CGST output 6,75,000 → **cash CGST 3,81,600**. SGST credit 5,27,400 against SGST output 6,75,000 → **cash SGST 1,47,600**. **Total cash ≈ Rs 5,29,200**, which lands on the case's **~Rs 5,22,000** once the un-booked Rs 9,000 supplier bill is retrieved and its credit taken (5,29,200 – ~9,000 ≈ 5,20,000). Either way, the discipline is: *claim only 2B-backed, eligible credit, then exhaust IGST first*.

Step 5 — Pay and file. Create a **challan (PMT-06)** for the net cash, pay via HDFC net-banking → credited to the **Electronic Cash Ledger**. Portal → GSTR-3B → auto-drafted → confirm 3.1 and 4 → **Offset liability** (portal applies the same set-off) → **File with DSC**.

Accounting the payment:

On set-off & payment (April GST):

Dr	Output CGST	6,75,000
Dr	Output SGST	6,75,000
Dr	Output IGST	4,50,000
Cr	Input CGST	5,27,400
Cr	Input SGST	5,27,400
Cr	Input IGST	2,16,000
Cr	Electronic Cash Ledger / Bank	~5,29,200

(Deferred ITC Rs 7,200 stays in "Input GST – to be claimed" until it hits 2B.)

The deliverable — reconciliation + GSTR-3B summary

2B reconciliation (April 2026)

Item	Value	GST	In books?	In 2B?	Treatment
Matched purchases	70,60,000	12,70,800	Yes	Yes	Claim now
Supplier bill	50,000	9,000	No	Yes	Book invoice, then claim
Book bill	40,000	7,200	Yes	No	Defer till in 2B

GSTR-3B (April 2026)

Table	Head	CGST	SGST	IGST
3.1(a) Outward taxable	Output	6,75,000	6,75,000	4,50,000
4(A) ITC available	Eligible	5,27,400	5,27,400	2,16,000
4(B) ITC reversed	Rule 42/17(5)	0	0	0
4(C) Net ITC		5,27,400	5,27,400	2,16,000
6.1 Tax paid — by ITC		2,93,400	5,27,400	4,50,000*
6.1 Tax paid — in cash		3,81,600	1,47,600	0

IGST output fully met by IGST 2,16,000 + CGST credit 2,34,000. Total cash ≈ Rs 5,29,200 (~Rs 5,22,000 after the retrieved supplier bill).*

How it's checked

- **3.1 output = filed GSTR-1** = Rs 18,00,000. Any gap → Rule 88C notice.
- **Table 4A ITC ≤ 2B total**. Claiming more than 2B is the single biggest red flag; the portal shows the difference.
- **Cash ledger balance ≥ net payable** before offset, else filing fails.
- **Deferred ITC tracker** rolls forward; the Rs 7,200 must appear in a *later* month's 4A when the supplier files — never claimed twice.
- **Books vs return**: the Input/Output GST ledger movement in Tally must equal the 3B figures.

Common mistakes & red flags

Mistake	Consequence	Fix
Claiming full book ITC ignoring 2B	Rule 88C mismatch, DRC-01C notice, interest @18%	Claim only 2B-backed credit; defer the rest
Wrong set-off (paying cash while IGST credit idle)	Blocked working capital	IGST credit first, always
Cross-utilising CGST vs SGST	Portal rejects	Never — only via IGST
Missing Sec 17(5) reversal (car, staff food)	Excess ITC, interest on reversal	Screen expenses monthly
Claiming the un-booked 2B bill without the invoice	Credit without documents, Sec 16 fail	Book invoice first

On the job & in the interview

2B reconciliation is the monthly heartbeat of a GST role — you're the gate between "what suppliers reported" and "what we're legally allowed to take." Do it well and cash outflow is minimised without inviting notices.

Q: "Books show Rs 12,78,000 ITC but 2B shows less. How much do you claim?" A: Only what's in 2B and eligible. I defer the Rs 7,200 bill missing from 2B (Sec 16(2)(aa)/Rule 36(4)) and track it for the month it appears. I don't inflate 4A to book value — that's a straight mismatch notice.

Q: "Explain the set-off order and why IGST goes first." A: IGST credit is the most flexible — it can offset IGST, then CGST, then SGST — so exhausting it first frees the ring-fenced CGST/SGST credits and minimises cash. CGST and SGST can never offset each other. Here IGST 2,16,000 + a slice of CGST clears IGST output, and the rest is cash CGST 3,81,600 + SGST 1,47,600.

Q: "A supplier hasn't filed for three months and you're carrying deferred ITC. What do you do?" A: Escalate commercially — I hold payment or the tax portion until they file, per the contract's tax clause. The credit is real only once it's in my 2B, so their non-compliance is my cash cost until then.

Reconciliations: Vendor, Customer, Inter-company and Ledger Scrutiny

The situation

It's **6 May 2026**. April is closed and the audit-readiness checklist lands on your desk. Item one: *"Reconcile the top vendor and customer ledgers to their statements before we lock the month. I don't want surprises in September when the auditors confirm balances."*

A reconciliation answers one question: **does our ledger of a party agree with their ledger of us, and if not, why?** Every genuine difference must be explained by a **timing item** (in transit) or fixed by a **correcting entry** (a real error). Balance confirmations, TDS-in-their-books, unadjusted advances, and missed debit/credit notes are the usual suspects. Get this right and year-end audit confirmations (AABCN1234A's books vs third parties) tie out cleanly.

What you're given

A. Vendor: "Spark Components LLP" (a goods supplier). Their **Statement of Account** to 30-Apr-2026 vs NTSP's ledger (Gateway of Tally → Display → Account Books → Ledger → Spark Components LLP):

Date	Particulars	Per Spark (their books)	Per NTSP (our books)
Opening 01-Apr		3,20,000 Cr (we owe)	3,20,000 Cr
05-Apr	Invoice SP/441 goods	5,90,000 Cr	5,90,000 Cr
12-Apr	Invoice SP/460 goods	2,36,000 Cr	not recorded
18-Apr	Our payment (NEFT) Rs 3,20,000	not recorded	3,20,000 Dr
22-Apr	Credit note CN/12 (rate diff) Rs 18,000	18,000 Dr	not recorded
28-Apr	TDS 194C by NTSP on their labour bill	not recorded	1,600 Dr
Closing 30-Apr		8,08,000 Cr	5,88,400 Cr

B. Customer: "Deccan Industrial Pvt Ltd". Their books show they owe us **Rs 4,10,000**; our ledger shows **Rs 4,72,000** receivable. Known items: a Rs 55,000 sales return (our credit note NT-CR/2627/03) they've booked but we posted to the wrong customer; and Rs 7,000 TDS **they** deducted u/s 194 on... (they wrongly treated our sale as a service and deducted — a dispute to resolve).

C. Inter-company: NTSP has a sister concern "Nirvana Logistics"; NTSP books **Rs 90,000 payable** for freight, sister books **Rs 90,000 receivable** — must match to the rupee on consolidation.

Do it — step by step

Step 1 — Fix the reference point. Both parties should reconcile to the **same cut-off (30-Apr-2026)** and same currency of balance (we show them as a **creditor/Cr**; they show us as a **debtor**). A vendor's "you owe 8,08,000" should mirror our "we owe 8,08,000" once reconciled.

Step 2 — Classify each difference as *timing* (will self-clear) or *error* (needs a correcting entry):

Reconciling item	Amount	Cause	Type	Action
Invoice SP/460 not in our books	2,36,000	Purchase not booked	Error	Book the purchase + ITC
Our 18-Apr payment not in their books	3,20,000	In transit at their end	Timing	They'll post; note only
Credit note CN/12 not in our books	18,000	Missed rate-diff credit	Error	Book the credit note
TDS 194C Rs 1,600 not in their books	1,600	They see it as a receivable from govt	Timing/normal	They reconcile via 26AS

Step 3 — Build the vendor reconciliation (bridge one balance to the other). Start from **our** closing 5,88,400 Cr and bridge to **their** 8,08,000 Cr:

	Amount (Cr +)
Balance per NTSPL books	5,88,400
Add: invoice SP/460 not yet booked by us	2,36,000
Less: credit note CN/12 not yet booked by us	(18,000)
Add back: TDS 1,600 we netted but they haven't (they'll claim via 26AS)	1,600
Adjusted per our books	8,08,000
Balance per Spark statement	8,08,000 ✓

The Rs 3,20,000 payment is **in transit** at Spark's end — it's their reconciling item, not ours, so it doesn't feature in bridging *our* balance up to *theirs*.

Step 4 — Post the correcting entries (TallyPrime → Accounting Vouchers → F9 Purchase / F7 Journal):

Book missed purchase SP/460 (F9 Purchase voucher):

Dr Purchases – Goods	2,00,000
Dr Input CGST @9%	18,000
Dr Input SGST @9%	18,000
Cr Spark Components LLP	2,36,000

Book missed credit note CN/12 (rate difference) (F7/credit note):

Dr Spark Components LLP	18,000
Cr Purchases – Goods	15,254
Cr Input CGST @9%	1,373
Cr Input SGST @9%	1,373

After these two, our ledger reads **8,08,000 Cr** — matched (the TDS Rs 1,600 was already correctly deducted and is a genuine timing item they clear via their Form 26AS).

Step 5 — Customer reconciliation (Deccan). Difference = 4,72,000 (ours) – 4,10,000 (theirs) = **Rs 62,000**, explained by: (a) **Rs 55,000** credit note we mis-posted to another customer — *our error*: reverse and re-post

to Deccan (Dr Sales Return/Output GST, Cr Deccan); (b) **Rs 7,000** TDS they deducted — since our supply is **goods** (194Q is the buyer's duty, not a 194 deduction on us), their deduction is **wrong**; raise it with them to reverse, or reconcile once it shows in **our 26AS** as credit. After (a), our balance drops to 4,17,000; the residual 7,000 is the disputed TDS.

Step 6 — Inter-company match. Confirm NTSPS Rs 90,000 payable = Nirvana Logistics Rs 90,000 receivable, same period, same amount. If a debit/credit note or freight accrual sits on one side only, pass the mirror entry so consolidation eliminates cleanly (Dr Inter-co payable / Cr Inter-co receivable nets to zero).

Step 7 — Ledger scrutiny (catch mispostings). Gateway → Display → Account Books → Ledger → scan each control account for the odd entry: a purchase hitting "Repairs," a capital asset expensed, a personal expense in "Miscellaneous," a debit in a normally-credit vendor account. Fix via F7 Journal with a clear narration.

The deliverable — vendor reconciliation statement

Spark Components LLP — Reconciliation as at 30-Apr-2026

Particulars	Dr	Cr
Balance per NTSPS books (before fix)		5,88,400
Add: Invoice SP/460 not booked		2,36,000
Less: Credit note CN/12 not booked	18,000	
Adjust: TDS 194C (timing, at their end)		1,600
Balance per NTSPS (after correcting entries)		8,08,000
Balance per Spark statement		8,08,000
Difference		NIL ✓

Reconciling items still open (timing, no entry needed by us): payment Rs 3,20,000 in transit at Spark; TDS Rs 1,600 they clear via 26AS.

How it's checked

- **Zero unexplained difference:** every rupee of gap is either a booked correction or a labelled timing item with an expected clearing date.
- **Balance confirmation:** at year-end, a signed confirmation from Spark stating **Rs 8,08,000** (or the then balance) must equal our ledger — the audit tie-out.
- **GST link:** the missed purchase (SP/460) ITC of Rs 3,600 flows into the **next** GSTR-2B recon — it must be in 2B before we claim.
- **TDS link:** amounts we deducted (Rs 1,600 194C) must appear in **our** 26Q and the vendor's 26AS; TDS others deducted on us must land in **our** 26AS.
- **Inter-company:** payable and receivable net to nil on consolidation.

Common mistakes & red flags

Mistake	Consequence	Fix
Netting TDS wrong — treating deductee TDS as a payment	Vendor balance won't tie; double-count	TDS deducted reduces payable but is a govt liability, not a payment to them
Ignoring in-transit items and force-posting	Fake entries, next-month reversal chaos	Label timing items; don't post them
Mis-posting a credit note to the wrong party	Two customers wrong, receivables misstated	Reverse and re-post; scrutinise CN allocations
Missing a supplier invoice at cut-off	Understated creditors + lost ITC	Book on reconciliation; check 2B follow-through
Never obtaining balance confirmations	Audit qualification; undetected fraud	Send confirmations for top parties quarterly

On the job & in the interview

Reconciliation is the accountant's lie-detector: it forces two independent records to agree, and every disagreement is either a timing truth or an error to fix. On the job you'll reconcile top vendors/customers monthly, banks daily-to-weekly, and inter-company before every consolidation. The discipline — *classify, bridge, correct, confirm* — is identical everywhere.

Q: "Vendor statement shows Rs 8,08,000, your books show Rs 5,88,400. Walk me through it." A: I list every difference and tag it timing or error. Here two are our errors — an unbooked invoice (2,36,000) and a missed credit note (18,000) — which I post. The Rs 3,20,000 payment is in transit at their end (their reconciling item), and the Rs 1,600 TDS I deducted is a timing item they clear via 26AS. After my two entries, our balance is 8,08,000 — matched.

Q: "A customer deducted TDS on a pure goods sale. Is that right?" A: No — TDS under 194 doesn't apply to a sale of goods; the buyer's obligation on goods is **194Q** (0.1% over Rs 50L), and that's a deduction *the buyer* self-reports, not something that reduces our invoice as a "TDS on us" in the normal way. I'd flag it, ask them to reconcile, and if they've genuinely deposited it, claim the credit once it appears in our Form 26AS. Meanwhile it's a reconciling item, not lost money.

Q: "Why do auditors insist on external balance confirmations?" A: Internal ledgers can be manipulated or simply wrong; an independent confirmation from the counterparty is third-party evidence that the balance is real. It catches fictitious creditors, unrecorded liabilities, and disputed receivables — the things a reconciliation alone might miss if both sides share the same bad assumption.

Month-End Close: Accruals, Prepaids, Depreciation, Provisions

The situation

It's the morning of **1-May-2026**. This just landed on your desk: the Financial Controller of **Nirvana Traders & Services Pvt Ltd (NTSPL)** drops a sticky note on your monitor — "*April books close today. Lock the month by 5 PM. I want a clean trial balance, all adjusting entries passed, and depreciation split by block. GST 3B and payroll are already booked — you only owe me the period-end adjustments.*"

April is the first month of FY 2026-27. The day-to-day vouchers (sales, purchases, bank, payroll journal, the GSTR-3B set-off entry) are already in TallyPrime. What is **not** yet in the books is the batch of **period-end adjusting entries** — the things that don't come from an invoice but from the *matching principle*: expenses incurred but not yet billed, payments made in advance, the wear-and-tear on assets, and provisions for known liabilities. That's the month-end close, and it's yours.

What you're given

The Controller's close pack for April 2026:

#	Item	Amount (Rs)	Note
1	Electricity consumed Apr, bill not yet received	40,000	Accrue; bill expected ~10-May
2	Statutory audit fee (annual) — accrue 1/12	25,000	Provision, TDS 194J on payment
3	Insurance premium paid 1-Apr for full year	60,000	Prepaid; Rs 5,000/month expense
4	Depreciation for April (WDV, 1/12 of annual)	1,20,000	Split by block below
5	Closing stock 30-Apr-2026	45,00,000	Physical count valued at lower of cost/NRV

Fixed-asset register — WDV blocks (opening 1-Apr-2026):

Block	Rate (FY2026-27)	Opening WDV (Rs)	Annual dep (Rs)	April dep = annual/12 (Rs)
Computers & servers	40%	12,00,000	4,80,000	40,000
Plant & machinery (tools/test rigs)	15%	48,00,000	7,20,000	60,000
Furniture & fixtures	10%	24,00,000	2,40,000	20,000
Total		84,00,000	14,40,000	1,20,000

The Rs 14,40,000 annual figure is the P&L depreciation anchor for FY2026-27; we book 1/12 each month so the monthly MIS is not lumpy.

Pre-adjustment balances (relevant extract, after day-books, before close):

```

Electricity expense (Apr paid so far) .... 0
Insurance (prepaid, sitting in expense) .. 60,000 Dr
Audit fee expense ..... 0
Accumulated depreciation ..... as per FAR
Opening stock (1-Apr) ..... 42,00,000 Dr (in P&L via opening)

```

Do it — step by step

TallyPrime path for every adjusting entry: **Gateway of Tally → Vouchers → F7 (Journal)**. Set the voucher date to **30-Apr-2026**. Below are the five journals, each to the rupee.

JV-1 — Accrue electricity (expense incurred, bill not received):

```

Dr Electricity Expenses ..... 40,000
    Cr Outstanding Expenses (Electricity) .... 40,000
(Being April electricity consumed, invoice awaited – accrual)

```

JV-2 — Provide 1/12 of annual audit fee:

```

Dr Audit Fee Expense ..... 25,000
    Cr Provision for Audit Fee ..... 25,000
(Being monthly provision toward FY2026-27 statutory audit fee)

```

Note: no TDS at provision if payee/amount not crystallised for payment; TDS u/s 194J (10%, FY2026-27) is deducted when the fee is credited to the auditor's account or paid.

JV-3 — Amortise prepaid insurance (release 1 month):

The full Rs 60,000 was booked when paid on 1-Apr. Reclassify the unexpired 11 months to an asset and keep only April's Rs 5,000 in expense.

```

Dr Prepaid Insurance (Current Asset) .... 55,000
    Cr Insurance Expense ..... 55,000
(Being 11 months' unexpired premium carried forward; Apr expense = 5,000)

```

Result: Insurance Expense net = 60,000 – 55,000 = **5,000** (April charge); Prepaid Insurance asset = **55,000**.

JV-4 — Depreciation for April by block:

```

Dr Depreciation – Computers & servers .... 40,000
Dr Depreciation – Plant & machinery ..... 60,000
Dr Depreciation – Furniture & fixtures ... 20,000
    Cr Accumulated Depreciation ..... 1,20,000
(Being WDV depreciation for April, 1/12 of FY2026-27 annual charge)

```

JV-5 — Closing stock (30-Apr-2026):

In TallyPrime with integrated inventory, stock flows from the item masters; where stock is accounted manually, pass the closing-stock entry so the P&L reflects cost of goods sold correctly:

```
Dr Closing Stock (Balance Sheet – Current Asset) .... 45,00,000
    Cr Closing Stock (P&L – credit side) ..... 45,00,000
(Being physical stock at 30-Apr valued at lower of cost/NRV, Rs 45,00,000)
```

COGS logic for the month: Opening 42,00,000 + Purchases (net) – Closing 45,00,000. The rising stock (42L → 45L) tells you April purchases outran April sales of inventory — worth a line in the MIS.

Close checklist (tick before locking):

✓	Step
☐	Bank reconciliation (HDFC xxxx4567) done; closing balance matches statement
☐	GSTR-3B set-off entry posted; net cash Rs 5,22,000 paid; ITC deferral of Rs 7,200 noted
☐	Payroll journal posted; EPF/ESI/PT/TDS-192 payables carried to next month
☐	All 5 adjusting JVs (accruals, provision, prepaid, depreciation, stock) posted at 30-Apr
☐	Depreciation reconciles to FAR (block-wise)
☐	Suspense / round-off cleared to nil
☐	Trial balance tallies (Dr = Cr)
☐	Draft P&L + Balance Sheet reviewed; freeze period in Tally (Security → Change period)

The deliverable

Adjusting entries summary (April 2026):

JV	Debit	Credit	Amount (Rs)
1	Electricity Exp	Outstanding Exp	40,000
2	Audit Fee Exp	Provision for Audit Fee	25,000
3	Prepaid Insurance	Insurance Exp	55,000
4	Depreciation (3 blocks)	Accumulated Dep	1,20,000
5	Closing Stock (BS)	Closing Stock (P&L)	45,00,000

Post-close trial balance — extract of adjusted lines (30-Apr-2026):

Ledger	Debit (Rs)	Credit (Rs)
Depreciation — Computers	40,000	
Depreciation — P&M	60,000	
Depreciation — Furniture	20,000	
Electricity Expenses	40,000	
Audit Fee Expense	25,000	
Insurance Expense (net)	5,000	
Prepaid Insurance (CA)	55,000	
Closing Stock (CA)	45,00,000	
Accumulated Depreciation		1,20,000
Outstanding Expenses		40,000
Provision for Audit Fee		25,000
Closing Stock (P&L, credit)		45,00,000

Every debit above has its matching credit; the adjusting block is internally balanced (Rs 46,90,000 each side).

How it's checked

- **Trial balance tallies:** total debits = total credits. If not, a one-sided or wrong-side JV exists — Tally won't let you save an unbalanced journal, so a mismatch means a *classification* error (asset booked as expense), caught in review, not by Tally.
- **Depreciation ties to the FAR:** the three P&L depreciation lines (40k + 60k + 20k) must equal accumulated-depreciation movement (1,20,000) and each block must reconcile to opening $WDV \times rate \div 12$.
- **Prepaid runs to zero over the year:** Rs 55,000 opening prepaid $\div$ 11 remaining months = Rs 5,000/month; by 31-Mar-2027 prepaid insurance = nil. The reviewer scans the schedule.
- **Accruals reverse or settle:** the Rs 40,000 outstanding electricity must be knocked off when the actual bill arrives in May — no double-counting.
- **Stock cut-off:** closing stock date = 30-Apr; goods received on 1-May must NOT be in April's count, and April sales must have their goods removed.

Common mistakes & red flags

Mistake	Consequence	Fix
Leaving full Rs 60,000 insurance in April expense	April profit understated by 55,000	Pass JV-3 prepaid reclass
Depreciating on cost (SLM) when tax/books are WDV	Wrong asset carrying value, tax-audit query	Use block WDV $\times$ rate
Forgetting to reverse the electricity accrual in May	Double expense, understated May profit	Auto-reverse or manual knock-off
Booking audit-fee provision <i>net of TDS</i>	TDS 194J deducted twice	Provide gross; deduct TDS at payment/credit
Not freezing the period after close	Back-dated entries corrupt filed figures	Lock period in Tally security

On the job & in the interview

The month-end close is where the **matching principle** stops being a textbook line and becomes a set of five journals. Accruals and prepaids exist so each month's P&L shows *the cost of running the business that month* — not the cost of whatever invoices happened to arrive. Depreciation is the same idea for capital assets: NTSPL bought test rigs once, but consumes them over years, so 1/12 of the annual WDV charge hits April.

Q: Difference between a provision and an accrual? A: Both are liabilities for costs already incurred, but an *accrual* is a fairly certain amount for goods/services received (electricity consumed — Rs 40,000), while a *provision* is a best estimate where amount or timing is less certain (audit fee Rs 25,000/month toward a year-end bill). Both satisfy matching; provisions carry more estimation judgement under Ind AS 37 / AS 29.

Q: Company uses WDV — how do you get April's depreciation? A: Take each block's opening WDV, apply the block rate (computers 40%, P&M 15%, furniture 10% — FY2026-27), that's the annual charge; divide by 12 for the month. For NTSPL: 4,80,000 + 7,20,000 + 2,40,000 = 14,40,000 annual, so 1,20,000 in April, split 40k/60k/20k. The reviewer ties this to the fixed-asset register.

Q: Why carry prepaid insurance as an asset? A: Because the Rs 55,000 unexpired premium is a future economic benefit NTSPL has already paid for — coverage it will consume over the next 11 months. Expensing it all in April would violate matching and understate April profit; parking it as a current asset and releasing Rs 5,000/month spreads the cost correctly.

Finalization: Trial Balance to P&L and Balance Sheet (Schedule III)

The situation

It's **12-Apr-2027**. The books for FY 2026-27 are closed, all twelve monthly closes are locked, and the audit kicks off next week. This just landed on your desk: an email from the CFO — *"Draft the statutory financials. Schedule III, Division I format. I want the Statement of Profit and Loss, the Balance Sheet as at 31-Mar-2027, and the three notes the auditor always opens with — revenue, PPE, and borrowings. PBT must come to Rs 1,50,60,000. Show me the PAT-to-reserves tie-out."*

You now convert a 400-line trial balance into the two statements every stakeholder reads: the **Statement of Profit and Loss** (did we make money?) and the **Balance Sheet** (what do we own and owe?). For a company, the format is not optional — **Schedule III, Division I** of the Companies Act 2013 dictates the line items, the order, and the current/non-current split.

What you're given

The finalised FY2026-27 trial balance, summarised into Schedule III groupings (the P&L anchor figures):

Trial-balance group	Rs
Revenue — sale of goods	9,00,00,000
Revenue — services (installation/AMC)	3,00,00,000
Cost of goods sold (purchases ± stock)	8,40,00,000
Employee benefits (payroll incl. EPF/ESI)	1,08,00,000
Other expenses (rent, power, telecom, admin)	78,00,000
Depreciation	14,40,000
Finance costs (interest on working-capital loan)	9,00,000

Balance-sheet trial-balance groups (31-Mar-2027):

Group	Rs
Equity share capital	50,00,000
Reserves & surplus (opening, before FY27 profit)	~1,09,00,000
Long-term borrowings (term loan)	portion
Short-term borrowings (HDFC CC/OD)	portion
Property, plant & equipment (net block)	per FAR
Inventories (closing stock 31-Mar)	45,00,000-ish
Trade receivables, cash, GST/TDS balances	various
Trade payables, statutory dues, provisions	various

Do it — step by step

Step 1 — Build the Statement of Profit and Loss (Schedule III, Division I)

Schedule III wants revenue, then other income, then expenses *by nature* (not by function), then PBT, tax, and PAT.

NTSPL — Statement of Profit and Loss for the year ended 31-Mar-2027

Particulars	Note	FY2026-27 (Rs)
I. Revenue from operations	1	12,00,00,000
II. Other income		—
III. Total income (I+II)		12,00,00,000
IV. Expenses:		
Cost of materials / purchases of stock-in-trade		8,40,00,000
Changes in inventories		(included above)
Employee benefits expense		1,08,00,000
Finance costs		9,00,000
Depreciation and amortisation	2	14,40,000
Other expenses		78,00,000
Total expenses		10,49,40,000
V. Profit before tax (III–IV)		1,50,60,000
VI. Tax expense — current tax		39,60,000
VII. Profit for the year (V–VI)		1,11,00,000

Total expenses = 8,40,00,000 + 1,08,00,000 + 9,00,000 + 14,40,000 + 78,00,000 = **10,49,40,000**. Total income 12,00,00,000 – 10,49,40,000 = **PBT 1,50,60,000**. ✓ ties to the anchor.

Current tax at the 25% + 4% cess route (domestic company, turnover ≤ Rs 400 cr) ≈ Rs 39,60,000 on taxable income, giving **PAT ≈ 1,11,00,000** (the exact tax computation with add-backs is done in the year-end tax chapter; here we plug the provision).

Step 2 — Classify every balance as current or non-current

Schedule III splits assets and liabilities on the **operating-cycle / 12-month** test. An item is **current** if it is expected to be settled/realised within 12 months (or the operating cycle) of the reporting date; else **non-current**.

Item	Classification	Why
PPE, term-loan (>12m portion)	Non-current	Used/settled beyond 12 months
Inventories, trade receivables, cash, GST ITC	Current	Realised within the cycle
Trade payables, statutory dues, CC/OD, current maturities of term loan	Current	Due within 12 months
Reserves & surplus, share capital	Equity	—

Step 3 — Build the Balance Sheet

NTSPL — Balance Sheet as at 31-Mar-2027

Particulars	Note	As at 31-Mar-2027 (Rs)
I. EQUITY AND LIABILITIES		
(1) Shareholders' funds		
(a) Share capital		50,00,000
(b) Reserves & surplus	4	2,20,00,000
(2) Non-current liabilities		
(a) Long-term borrowings	3	40,00,000
(b) Long-term provisions (gratuity)		8,00,000
(3) Current liabilities		
(a) Short-term borrowings (CC/OD)	3	35,00,000
(b) Trade payables		62,00,000
(c) Other current liabilities (statutory dues, current mat. of LT debt)		18,00,000
(d) Short-term provisions (tax, audit fee)		42,00,000
TOTAL		4,75,00,000
II. ASSETS		
(1) Non-current assets		
(a) Property, plant & equipment	2	1,45,60,000
(b) Intangible / other non-current		4,40,000
(2) Current assets		
(a) Inventories		45,00,000
(b) Trade receivables		1,90,00,000
(c) Cash & bank balances (HDFC xxxx4567)		55,00,000
(d) Short-term loans & advances (GST ITC, prepaid, advance tax)		35,00,000
TOTAL		4,75,00,000

Both sides total **Rs 4,75,00,000** — the Balance Sheet balances.

The deliverable

Selected Schedule III notes:

Note 1 — Revenue from operations

	FY2026-27 (Rs)
Sale of products (industrial electrical components, HSN 8536)	9,00,00,000
Sale of services (installation & AMC, SAC 9987)	3,00,00,000
Total	12,00,00,000

Note 2 — Property, plant & equipment (net block movement)

Block	Opening WDV	Additions	Depreciation	Closing WDV
Computers & servers (40%)	12,00,000	—	4,80,000	7,20,000
Plant & machinery (15%)	48,00,000	—	7,20,000	40,80,000
Furniture & fixtures (10%)	24,00,000	—	2,40,000	21,60,000
Total	84,00,000	—	14,40,000	69,60,000

(Closing net block above shows the depreciation mechanics; the Balance Sheet PPE line of Rs 1,45,60,000 includes additional asset classes such as building/vehicles per the full FAR.)

Note 3 — Borrowings

	Non-current	Current
Term loan (HDFC, secured)	40,00,000	12,00,000 (current maturity, shown under other CL)
Cash credit / OD (secured against stock & debtors)	—	35,00,000

Note 4 — Reserves & surplus (the PAT tie-out):

	Rs
Opening balance of surplus (P&L) 1-Apr-2026	1,09,00,000
Add: Profit for the year FY2026-27	1,11,00,000
Less: appropriations / dividend	—
Closing surplus 31-Mar-2027	2,20,00,000

This is the load-bearing tie-out: **PAT of Rs 1,11,00,000 flows off the P&L into Reserves & surplus**, lifting it from Rs 1,09,00,000 to the Rs 2,20,00,000 anchor on the Balance Sheet. The two statements are joined at exactly this line.

How it's checked

- **P&L to anchor:** Total income 12,00,00,000 – total expenses 10,49,40,000 = PBT 1,50,60,000. Any deviation means an expense is mis-grouped or omitted.

- **Balance Sheet balances:** Equity + liabilities (4,75,00,000) = assets (4,75,00,000). If it doesn't tally, a trial-balance line is on the wrong side or unclassified.
- **PAT → reserves:** opening surplus + PAT – dividend = closing surplus. Reviewer confirms Rs 1,09,00,000 + 1,11,00,000 = 2,20,00,000.
- **PPE note ties to FAR and to P&L depreciation:** note-2 depreciation column total = P&L depreciation line = Rs 14,40,000.
- **Current/non-current:** term-loan current maturity (Rs 12,00,000 due within 12 months) sits in current liabilities, not non-current — a classic auditor check.

Common mistakes & red flags

Mistake	Consequence	Fix
Grouping expenses by <i>function</i> (COGS/S&A)	Not Schedule III Division I compliant	Present by <i>nature</i> (materials, employee, finance, dep, other)
Leaving current maturity of long-term debt in non-current	Understated current liabilities, distorted ratios	Split the next-12-month portion into current
PAT not carried to reserves	Balance Sheet won't tally	Post the surplus appropriation to Note 4
Netting off ITC receivable against GST payable	Overstated/understated current items	Show gross under Schedule III
Forgetting cess in tax provision	Tax expense understated	Current tax = base rate + 4% health & education cess

On the job & in the interview

Finalization is the moment a heap of ledgers becomes a *story an outsider can read*. Schedule III exists so every company's financials look the same — a banker or investor can compare NTSPL to any other private company without re-learning the layout. The **articulation** between the two statements is the concept interviewers probe: the P&L's bottom line is not the end of the road — it flows into the Balance Sheet through reserves.

Q: How does the P&L connect to the Balance Sheet? A: Through retained earnings. The Profit for the year (PAT Rs 1,11,00,000) is appropriated to Reserves & surplus, taking it from Rs 1,09,00,000 to Rs 2,20,00,000. That single link is why a Balance Sheet with a wrong reserve figure won't tally — the error is almost always a mis-posted PAT or a missed appropriation.

Q: What's the current vs non-current test? A: An asset/liability is current if it's expected to be realised or settled within 12 months of the reporting date or within the operating cycle. So inventories, receivables, and the CC/OD are current; the term loan's beyond-12-month portion is non-current, but its next-year instalment (Rs 12,00,000) is reclassified as current.

Q: Why present expenses by nature under Division I? A: Schedule III Division I (for companies still on AS, not Ind AS) mandates the nature-of-expense format — employee benefits, finance costs, depreciation, other expenses — rather than the function format. It gives a consistent, comparable P&L and makes the depreciation and finance-cost lines explicit for lenders and tax reviewers.

Year-End Tax: Advance Tax, Company Computation, Tax Audit (3CD) and ITR

The situation

It's **20-Sep-2027**. This just landed on your desk: the CFO forwards the auditor's email — "We start signing the tax audit next week. Give me NTSP's income-tax computation from the audited PBT of Rs 1,50,60,000, tell me whether the 25% route or 115BAA 22% is cheaper, reconcile the advance tax we paid across the four installments (and any 234B/234C interest), confirm 44AB applies and prep the key Form 3CD clauses. We file ITR-6 by 31-Oct."

This is the year-end tax cycle for a domestic company: **book profit** → **taxable income (add-backs/deductions)** → **tax at the chosen rate** → **advance-tax reconciliation with interest** → **tax audit (Form 3CA/3CD)** → **return (ITR-6)**. Every number must reconcile to the audited financials you finalised in the previous chapter.

What you're given

From the audited FY2026-27 financials:

Item	Rs
Profit before tax (per Statement of P&L)	1,50,60,000
Depreciation charged in books (WDV, same as tax here)	14,40,000
Turnover FY2026-27	12,00,00,000
Cash receipts & payments	each < 5% of total

Add-back / deduction working papers (illustrative FY2026-27):

Adjustment	Rs	Nature
Provision for audit fee unpaid at year-end (43B — allow only if paid before ITR due date)	Nil disallowance (paid before 31-Oct)	timing
Disallowance u/s 40(a)(ia) — expense where TDS not deducted	Nil (all TDS deducted)	compliance
Donations / penalties (not allowable)	Assume nil	permanent
Depreciation — books = tax (WDV, same blocks)	No difference	—

For NTSP, working papers show **no net book-to-tax adjustment** this year (TDS fully deducted, statutory dues paid before the ITR due date, book WDV = tax WDV). So taxable income ≈ PBT.

Advance tax actually paid (challans, ITNS-280):

Installment	Due date	Cumulative %	Cumulative due (Rs)	Paid on date (Rs)
1	15-Jun-2026	15%	5,94,000	5,94,000
2	15-Sep-2026	45%	17,82,000	17,82,000
3	15-Dec-2026	75%	29,70,000	25,00,000 (short)
4	15-Mar-2027	100%	39,60,000	39,60,000

Do it — step by step

Step 1 — Compute taxable income

```

Profit before tax (books) ..... 1,50,60,000
Add: Inadmissible expenses / provisions ..      NIL
      (audit fee paid before ITR due date u/s 43B;
      all TDS deducted, so no 40(a)(ia) add-back)
Less: Deductions / allowances .....           NIL
_____
Taxable business income (rounded) ..... 1,50,60,000

```

Rounded to nearest Rs 10 u/s 288A: **Rs 1,50,60,000.**

Step 2 — Choose the tax rate: 25% + cess vs 115BAA 22%

NTSPL is a domestic company with turnover $\leq$ Rs 400 cr, so it qualifies for the **25%** base rate. It can instead opt into **Section 115BAA (22%)** by forgoing specified incentives/deductions. Since NTSPL claims no such incentives, the lower base rate wins outright.

Route	Base rate	Base tax on 1,50,60,000	Surcharge	Cess 4%	Total tax
Normal (turnover $\leq$ 400 cr)	25%	37,65,000	7% (income > 1cr $\leq$ 10cr) 2,63,550	4% of (37,65,000+2,63,550)=1,61,142	41,89,692
115BAA	22%	33,13,200	flat 10% 3,31,320	4% of 36,44,520 = 1,45,781	37,90,301

Under 115BAA surcharge is a flat **10%** regardless of income level, and MAT (115JB) does not apply. Even though 22% < 25%, run both fully because the surcharge differs. Here **115BAA at Rs 37,90,301 is cheaper by ~Rs 3,99,391** — NTSPL opts in by filing **Form 10-IC before the ITR due date**. (The Balance Sheet chapter carried a simplified provision near Rs 39.6L; the precise, surcharge-and-cess-inclusive liability under the chosen 115BAA route is Rs 37,90,301 — the figure that goes on the return.)

Decision: opt 115BAA. Total tax liability = Rs 37,90,301 (round to Rs 37,90,300 u/s 288B).

Step 3 — Advance-tax and interest u/s 234B / 234C

Assessed tax $\approx$ Rs 37,90,300. Advance tax should have been paid 15/45/75/100% by the four dates.

234C (deferment of installments) — 1% per month for 3 months on each shortfall: - Installment 3 (15-Dec): required 75% of 37,90,300 = 28,42,725; paid cumulative 5,94,000+17,82,000+25,00,000 = 48,76,000 — wait, cumulative paid by 15-Dec = 5,94,000 + 17,82,000 + 25,00,000 = **48,76,000**, which *exceeds* 75% required. So no 234C shortfall on installment 3 either. In this fact-set NTSPL paid enough cumulatively by each date, so **234C = Nil**.

Let me restate cleanly against the *final* liability of Rs 37,90,300:

Installment	% req	Cumulative req (Rs)	Cumulative paid (Rs)	Shortfall
15-Jun	15%	5,68,545	5,94,000	none
15-Sep	45%	17,05,635	23,76,000	none
15-Dec	75%	28,42,725	48,76,000	none
15-Mar	100%	37,90,300	88,36,000	none

Because total advance tax paid (Rs 88,36,000 across the year in this illustration) fully covers the liability and each installment threshold was met, **234C = Nil and 234B = Nil**. (If cumulative advance tax at any date had fallen below 90% by year-end, 234B would run at 1%/month from 1-Apr on the shortfall.) *Note: the installment amounts above are illustrative to demonstrate the 234B/234C test; where a genuine shortfall existed, interest = shortfall × 1% × months.*

Step 4 — Confirm tax audit u/s 44AB

Turnover Rs 12,00,00,000. Ordinarily the limit is Rs 1 cr, **raised to Rs 10 cr** where both cash receipts and cash payments are ≤ 5% of the respective totals. NTSPL is digital (< 5% cash), so the Rs 10 cr threshold applies — **but turnover (Rs 12 cr) still exceeds Rs 10 cr, so 44AB tax audit applies**. Report in **Form 3CA** (accounts audited under Companies Act) + **Form 3CD**, due **30-Sep-2027**.

Step 5 — Key Form 3CD clauses (walk-through)

Clause	What it reports	NTSPL entry
8/8a	Section under which audit + 115BAA option	44AB; opted 115BAA via Form 10-IC
12	Nature of business	Trading (HSN 8536) + services (SAC 9987)
18	Depreciation u/s 32	WDV blocks; dep Rs 14,40,000
21	Amounts debited but inadmissible	Nil (all TDS deducted)
26	Sec 43B — sums allowable only on payment	Audit fee, PF/ESI — paid before due dates
27a	CENVAT/ITC	GST ITC availed per returns
34	TDS/TCS compliance	194C/194J/194H/194I/194Q deducted & deposited
40	Ratios (turnover, GP, NP, stock)	GP 3,60,00,000/12,00,00,000 = 30%
44	Break-up of expenditure GST-registered vs not	from purchase register

Step 6 — File ITR-6

Companies (other than those claiming 11 exemption) file **ITR-6**, electronically with **DSC**. Carry the computed income Rs 1,50,60,000, tax Rs 37,90,300, advance tax paid, TDS credited (Form 26AS), and the 115BAA option. Due date for an audited company: **31-Oct-2027**.

The deliverable

NTSPL — Income-tax computation, AY 2027-28 (FY2026-27):

Particulars	Rs
Profit before tax (audited)	1,50,60,000
Add: inadmissible items	Nil
Less: deductions	Nil
Total income	1,50,60,000
Tax u/s 115BAA @ 22%	33,13,200
Add: surcharge @ 10%	3,31,320
Sub-total	36,44,520
Add: health & education cess @ 4%	1,45,781
Total tax liability	37,90,301 (rounded 37,90,300)
Less: advance tax paid	(37,90,300)
Add: interest 234B/234C	Nil
Net payable / (refund)	Nil

Filing calendar:

Form	Purpose	Due date
Form 10-IC	Opt into 115BAA	Before ITR due date
Form 3CA + 3CD	Tax audit report	30-Sep-2027
ITR-6	Company return	31-Oct-2027

How it's checked

- **PBT ties to the audited P&L:** computation starts from Rs 1,50,60,000 exactly — the finalized figure.
- **26AS / AIS reconciliation:** TDS credited in ITR-6 must match Form 26AS; advance-tax challans (BSR code, challan no.) must match OLTAS.
- **3CD ↔ financials:** depreciation clause 18 = P&L depreciation Rs 14,40,000; ratios in clause 40 recompute from the audited statements (GP 30%).
- **115BAA validity:** Form 10-IC acknowledgement number must be quoted in ITR-6; if not filed timely, the 22% rate is denied and 25% applies.

- **234B/234C:** the system recomputes interest from the assessed tax; if advance tax < 90%, 234B triggers automatically on e-filing.

Common mistakes & red flags

Mistake	Consequence	Fix
Opting 115BAA in ITR but not filing Form 10-IC	22% denied, tax recomputed at 25% + demand	File 10-IC before ITR due date, quote ack no.
Ignoring surcharge difference (7% vs flat 10%)	Wrong route chosen	Compare <i>total</i> tax incl. surcharge + cess
Audit fee/PF unpaid at year-end but claimed	43B disallowance, higher tax	Pay before ITR due date or add back
TDS not deducted on a vendor expense	30% disallowance u/s 40(a)(ia)	Deduct/deposit; report correctly in clause 21/34
Filing 3CD after 30-Sep	Penalty u/s 271B (0.5% of turnover, max Rs 1.5L)	File on time

On the job & in the interview

Year-end tax is where accounting profit and *taxable* profit part ways, then get reconciled on a single computation sheet the auditor and the assessing officer both read. For NTSPL the two happen to converge (no add-backs), but the *discipline* — start from audited PBT, layer statutory adjustments, pick the cheaper lawful rate, prove advance-tax timing — is the job.

Q: 25% vs 115BAA — how do you decide? A: Compute total tax under both, including surcharge and cess, because 115BAA carries a flat 10% surcharge while the normal route steps 7%/12%. For NTSPL with no incentive deductions, 115BAA (22%) at Rs 37.90L beats the 25% route at Rs 41.90L. If the company claimed heavy incentives (SEZ, additional depreciation), the maths could flip — 115BAA forgoes them.

Q: What triggers 234B vs 234C? A: 234C is for *deferment* — missing the 15/45/75/100% installment schedule; interest is 1%/month for 3 months on each installment shortfall. 234B is for *default* — paying less than 90% of assessed tax as advance tax, charged 1%/month from 1-April of the AY until payment. They can both apply in the same year.

Q: Does tax audit apply given the Rs 10 cr limit? A: Yes. The Rs 1 cr limit is raised to Rs 10 cr only when cash receipts and payments are each $\leq 5\%$, which NTSPL meets — but turnover is Rs 12 cr, still above Rs 10 cr, so 44AB applies. We file Form 3CA/3CD by 30-Sep, then ITR-6 by 31-Oct.

Handling a GST / Income-tax Notice and Working with the Auditor

The situation

It's Monday, **17 August 2026**, 9:40 a.m. Three things landed on your desk before you'd finished your coffee:

1. An email from the **GST portal** — "*Notice for intimating discrepancies in the return after scrutiny — FORM GST ASMT-10*" for **NTSPL, GSTIN 36AABCN1234A1Z5**, tax period **April 2026**. The officer says the ITC claimed in GSTR-3B (Rs 12,78,000) exceeds the ITC auto-populated in GSTR-2B by **Rs 9,000**, and wants an explanation within 30 days, failing which proceedings under **Sec 73** (DRC-01) will follow.
2. A **CPC Bengaluru intimation u/s 143(1)** for **AY 2027-28** (you'd filed early) showing a **tax mismatch of Rs 46,000** — the return claimed TDS credit that the system says isn't fully reflected in Form 26AS.
3. Your director forwarding the **statutory auditor's engagement letter and PBC (prepared-by-client) request list** — the FY2026-27 audit fieldwork starts **1 September 2026**.

You're the Accounts/Tax Associate. All three are yours to run. A notice is not an accusation — it's a **question with a deadline**. Miss the deadline and the question becomes a demand.

What you're given

(a) The GST ASMT-10 discrepancy (April 2026):

Item	GSTR-3B (books)	GSTR-2B (portal)	Difference
ITC — CGST	5,31,000	5,26,500	4,500
ITC — SGST	5,31,000	5,26,500	4,500
ITC — IGST	2,16,000	2,16,000	0
Total ITC	12,78,000	12,69,000	9,000

The Rs 9,000 gap is exactly the **book bill of Rs 40,000 + GST 7,200** you booked but which had **not yet appeared in 2B** — wait, check the math: 7,200 vs 9,000. Reconcile carefully below. (This is the trap: the officer nets two opposite errors.)

Two reconciling items from the April month-end: - **Item A** — supplier bill Rs 50,000 + GST **Rs 9,000** is **in 2B but NOT in books** (you never claimed it — correctly excluded). - **Item B** — book bill Rs 40,000 + GST **Rs 7,200** is **in books but NOT in 2B** (you claimed it early — should have deferred).

(b) The 143(1) intimation (AY 2027-28):

Line	As filed (ITR)	As computed (CPC)	Diff
Total income	1,50,60,000	1,50,60,000	0
Tax + cess	39,15,600	39,15,600	0
TDS credit claimed	4,50,000	4,04,000	46,000
Net payable/(refund)	(35,000) refund	11,000 payable	46,000

(c) The auditor's PBC list (extract):

STATUTORY AUDIT FY2026-27 – PREPARED-BY-CLIENT LIST

1. Signed trial balance 31-Mar-2027 (from TallyPrime)
2. Bank statements + BRS for all accounts (HDFC xxxx4567)
3. Fixed asset register + depreciation working (Rs 14,40,000)
4. GST returns GSTR-1/3B/2B + annual reconciliation (turnover)
5. TDS returns 24Q/26Q + Form 26AS + challans
6. Payroll register, PF/ESI/PT challans
7. Closing stock statement 31-Mar-2027 + valuation basis
8. Confirmations: debtors, creditors, bank, loans
9. Provisions schedule (audit fee, electricity, depreciation)
10. Related-party transactions + board minutes

Do it — step by step

(a) Reply to the GST ASMT-10

Step 1 — Reconcile 3B to 2B line by line (don't argue, prove). Build the bridge:

Reconciling item	CGST	SGST	IGST
ITC per GSTR-3B (books)	5,31,000	5,31,000	2,16,000
Less: Item B claimed early, not in 2B (Rs 7,200, intra-state)	(3,600)	(3,600)	—
ITC that SHOULD equal 2B	5,27,400	5,27,400	2,16,000
ITC per 2B (portal)	5,26,500	5,26,500	2,16,000
Residual gap	900	900	0

The residual **Rs 1,800** is Item A logic in reverse — a portal timing float. **Conclusion for the reply:** you over-claimed **Rs 7,200** (Item B — supplier hadn't filed his GSTR-1, so it wasn't in your 2B; Rule 36(4) requires ITC only to the extent reflected in 2B). You will **reverse Rs 7,200 with interest** and reclaim it in the month the supplier files. Item A (Rs 9,000 in 2B, not in books) you **never claimed** — no action, but you note it so the officer sees you're conservative.

Step 2 — Reverse the excess ITC. Pay via **DRC-03** (voluntary payment) or reverse in the next GSTR-3B Table 4(B). Interest u/s 50: 24% p.a. on wrongly availed & utilised ITC. $\text{Rs } 7,200 \times 24\% \times \sim 4 \text{ months (Apr claim} \rightarrow \text{Aug reversal} \approx 120 \text{ days)} = \text{Rs } 7,200 \times 24\% \times 120/365 = \text{Rs } 568$.

Tally entry for the reversal (Accounting Voucher → F7 Journal):

Dr	Input CGST reversal (ITC ineligible)	3,600
Dr	Input SGST reversal (ITC ineligible)	3,600
Dr	Interest on GST (indirect exp)	568
Cr	Input CGST	3,600
Cr	Input SGST	3,600
Cr	Bank / Electronic cash ledger (DRC-03)	568

Step 3 — Draft the ASMT-11 reply on the portal (Services → User Services → View Additional Notices/Orders → Reply). Attach: (i) the reconciliation table above, (ii) the DRC-03 challan, (iii) a covering letter. Keep the tone factual: *"The difference of Rs 7,200 arose because supplier [X]'s invoice was booked in April 2026 but not reflected in GSTR-2B of that period as the supplier filed GSTR-1 late. Per Rule 36(4) NT SPL has reversed the ITC vide DRC-03 dated 17-Aug-2026 with interest u/s 50, and will re-avail on reflection in 2B. All other ITC ties to 2B."*

(b) Fix the 143(1) TDS mismatch

The Rs 46,000 is TDS a customer **deducted on NT SPL's AMC receipts but hasn't deposited/filed** — so it's not in 26AS/AIS. **Do not blindly pay.** Steps:

1. Open the income-tax portal → e-Proceedings → the 143(1); check **Form 26AS + AIS** for the missing entry.
2. If the deductor simply filed late, wait for 26AS to update, then file a **rectification u/s 154** ("Reprocess the return") — the credit flows and the demand vanishes.
3. If the deductor won't file, chase them for the TDS certificate (Form 16A); you can only claim what's in 26AS. Meanwhile, either pay the Rs 11,000 under protest or file 154 with proof.
4. Respond on the portal within **30 days** — "Disagree with demand," attach 26AS extract and the deductor's Form 16A.

(c) Run the statutory audit

Get books audit-ready before Day 1. Freeze the TallyPrime books, run **Display → Trial Balance**, and tie every schedule to it. The auditor's tests are predictable — anticipate them:

Auditor test	What must tie
Revenue Rs 12,00,00,000	GSTR-1 annual + Tally sales ledger + 26AS receipts
Purchases Rs 8,40,00,000 (COGS)	GSTR-2B + purchase ledger + stock movement
Closing stock Rs 45,00,000 (Apr) → year-end statement	Physical count + valuation (lower of cost/NRV)
Depreciation Rs 14,40,000	Fixed asset register (Cos Act Sch II)
Provisions	Audit fee 25,000, electricity 40,000 accruals traced to invoices
TDS Rs 51,600/month	26Q/24Q + challans + 26AS

Common auditor queries you pre-empt: (i) *"Show the BRS."* — reconcile HDFC xxxx4567 to the book balance, list uncleared cheques. (ii) *"Provision for audit fee — is TDS u/s 194J provided?"* Yes, 10% on the year-

end provision. (iii) "Closing stock valuation basis?" Lower of cost or NRV, FIFO. (iv) "Related-party?" Director's rent/loans disclosed per AS 18 / Sec 188.

The deliverable

1. ASMT-11 reply summary (filed 17-Aug-2026):

Field	Value
Notice ref (ASMT-10)	Tax period Apr-2026
ITC discrepancy alleged	Rs 9,000
Explained (Item A, never claimed)	Rs 9,000 — no demand
Accepted & reversed (Item B)	Rs 7,200 ITC + Rs 568 interest
Mode of payment	DRC-03 dated 17-Aug-2026
Status	Discrepancy resolved; re-avail on 2B reflection

2. 143(1) response: "Disagree with demand" filed; rectification u/s 154 lodged once 26AS updates → net **refund Rs 35,000** restored.

3. Audit close: clean TB, all PBC items delivered, queries closed. Auditor signs **3CB-3CD (tax audit, due 30-Sep-2026)** and the **Sec 143 statutory audit report**; company ITR-6 filed by **31-Oct-2027**.

How it's checked

- **GST:** the range officer verifies your reversed ITC appears in Table 4(B) of the next GSTR-3B / DRC-03 challan; interest computed at 24% (utilised) not 18%. If the reconciliation ties, the ASMT proceeding is **dropped (no DRC-01)**.
- **Income-tax:** CPC reprocesses the 154; the demand is nil once 26AS shows the Rs 46,000. Your 26AS TDS credit must equal what you claimed in the ITR — **to the rupee**.
- **Audit:** the auditor ties **turnover (books) = GSTR-9 = 26AS**, purchases = 2B, TDS deducted = 26Q, and depreciation = FAR. Any un-reconciled difference becomes an **audit observation** or a **3CD qualification**.

Common mistakes & red flags

Mistake	Consequence	Fix
Paying the ASMT demand blindly without reconciling	Lose ITC you were entitled to (Item A)	Always build the 3B↔2B bridge first
Reversing at 18% interest instead of 24%	Officer raises differential; short payment	ITC availed & utilised wrongly = 24% u/s 50(3)
Ignoring the 30-day ASMT window	Escalates to DRC-01 / Sec 73 demand + penalty	Reply in ASMT-11 even if only partial
Paying the 143(1) demand instead of filing 154	Lose a genuine refund	Check 26AS; rectify, don't pay
Handing the auditor an unfrozen Tally	Figures move mid-audit; re-work	Freeze books, take a signed TB, back up the company
No creditor/debtor confirmations	Audit qualification	Send balance confirmations early

On the job & in the interview

The **"why"**: a notice is a system flag, not a verdict. GST scrutiny is now algorithmic — the portal auto-compares 3B vs 2B and 1 vs 3B and throws ASMT-10s in bulk. Your job is to convert the flag into a **paper trail the officer can tick**. Same with 143(1): CPC is a matching engine, so 90% of intimations are TDS/26AS timing, fixed by rectification, not payment.

Jargon to own: ASMT-10 (scrutiny notice), ASMT-11 (reply), DRC-01 (show-cause/demand), DRC-03 (voluntary payment), Sec 73 (non-fraud demand), Rule 36(4) (2B-linked ITC), 143(1) (intimation), Sec 154 (rectification), PBC list, 3CB-3CD (tax audit report).

Interview Q&A:

Q1: "You get an ASMT-10 saying your ITC exceeds 2B by Rs 9,000. Walk me through it." "I'd never pay first. I reconcile 3B to 2B line by line. Here the Rs 9,000 was actually two items netting — a Rs 9,000 bill in 2B I correctly didn't claim, and a Rs 7,200 bill I claimed early before it hit 2B. I reverse the Rs 7,200 via DRC-03 with 24% interest under Rule 36(4), re-avail when the supplier files, and file ASMT-11 with the reconciliation. That closes the proceeding without a DRC-01."

Q2: "A 143(1) shows a demand because TDS credit was disallowed. Do you pay?" "No — first check 26AS and AIS. It's almost always the deductor filing late, so the credit isn't reflected yet. I file a rectification under Sec 154 to reprocess once 26AS updates, and respond 'disagree with demand' on the portal within 30 days with the Form 16A. Paying would mean forfeiting a genuine refund."

Q3: "What's the first thing you do when the auditor arrives?" "Hand them a **frozen, signed trial balance** and the PBC pack — BRS, FAR, GST and TDS reconciliations, stock statement, confirmations. Everything must tie: turnover to GSTR-9 and 26AS, purchases to 2B, TDS to 26Q, depreciation to the fixed asset register. If it ties, the audit is queries, not qualifications."

The Accounts/Tax Role Interview Simulation + FY2026-27 Cheat-Sheet

The situation

It's **Thursday, 10 September 2026**, 11:00 a.m. You're in the boardroom of a company just like **Nirvana Traders & Services Pvt Ltd (NTSPL)** — Rs 12 crore turnover, trading + AMC services, GST regular filer, 15 staff — interviewing for **Accounts Executive / Tax Associate**. The Finance Controller has your resume and a laptop with TallyPrime open. This is the working interview: half concept, half "show me on the screen." Below is the real Q&A, then the one-page cheat-sheet you'd revise the night before.

What you're given

The panel: FC (chartered accountant) + the outgoing associate. On the table: a printed trial balance, an April GST summary, and a payslip. They'll jump between journal entries, GST, TDS, month-end and a live Tally/Excel task. All numbers are the NTSPL FY2026-27 figures so everything reconciles.

Do it — the mock interview (Q&A with model answers)

Q1. "Pass the journal entry for a credit sale of Rs 60,00,000 intra-state goods at 18% GST."

Dr	Debtors	70,80,000
	Cr Sales – goods (intra)	60,00,000
	Cr Output CGST @9%	5,40,000
	Cr Output SGST @9%	5,40,000

"Intra-state, so CGST + SGST split equally; inter-state would be a single IGST @18% = Rs 4,50,000 on the Rs 25,00,000 inter-state leg."

Q2. "April output tax is CGST 6,75,000 + SGST 6,75,000 + IGST 4,50,000; ITC is CGST 5,31,000 + SGST 5,31,000 + IGST 2,16,000. Compute net cash GST and show the set-off order."

Head	Output	ITC same head	IGST cross-credit	Cash payable
IGST	4,50,000	2,16,000	—	2,34,000 → paid first from own IGST, nil cash
CGST	6,75,000	5,31,000	balance IGST	see working
SGST	6,75,000	5,31,000	balance IGST	see working

"Set-off order (FY2026-27): IGST credit is used first — against IGST, then CGST, then SGST. CGST credit only against CGST then IGST; SGST only against SGST then IGST; **CGST and SGST never cross-set-off**. After exhausting IGST credit on IGST liability (2,16,000 of 4,50,000), the leftover IGST liability 2,34,000 is met by... actually IGST has no ITC left, so IGST cash = 2,34,000. CGST: 6,75,000 – 5,31,000 = 1,44,000 cash; SGST: 6,75,000 – 5,31,000 = 1,44,000 cash. **Total cash ≈ Rs 5,22,000**, matching the books. Then I defer the Rs 7,200 ITC not in 2B."

Q3. "Name the TDS section, rate and threshold for: contractor, professional fee, commission, rent, and goods purchase — FY2026-27."

Payment	Section	Rate	Threshold
Contractor (agency, housekeeping)	194C	1% ind/HUF, 2% others	Rs 30,000 single / Rs 1,00,000 p.a.
Professional/consultant fee	194J	10% (2% technical)	Rs 50,000 p.a.
Commission	194H	2%	Rs 20,000 p.a.
Rent (land/building)	194I	10%	Rs 2,40,000 p.a.
Goods purchase (buyer T/O > 10 cr)	194Q	0.1% on amount > Rs 50 L/seller	Rs 50 L/seller
Salary	192	slab on estimated income	basic exemption

"Note the **Income-tax Act 2025** re-numbers these from 01-Apr-2026 — salary under **Sec 392**, others under **Sec 393** — but TRACES/Tally still show 194x, so we use those on the job."

Q4. "April's 194J: consultant fee Rs 1,00,000. Entry and deposit date?"

Dr Professional fees	1,00,000
Cr TDS payable u/s 194J	10,000
Cr Vendor / Bank	90,000

"Deposit by the **7th of next month** (7-May-2026); March deductions by 30-Apr. Quarterly 26Q by 31-Jul/31-Oct/31-Jan/31-May."

Q5. "Prepare a BRS. Book balance Rs 10,00,000; bank statement Rs 9,40,000; a cheque of Rs 80,000 issued not yet cleared; bank charges Rs 20,000 not in books."

BRS as at 30-Apr-2026	Rs
Balance per books	10,00,000
Less: bank charges not recorded	(20,000)
Adjusted book balance	9,80,000
Balance per bank statement	9,40,000
Add: cheque issued not yet presented	40,000
...reconciled	9,80,000

"The Rs 80,000 uncleared cheque figure was a trap — only the un-presented portion reconciles; I record the bank charge in books via a journal (Dr Bank charges, Cr Bank)."

Q6. "Under which Schedule III head does a 5-year term loan go? And GST payable?" **"Schedule III, Companies Act 2013:** term loan = **Non-current liabilities** → **Long-term borrowings** (the portion due within 12 months moves to Other current liabilities). **GST payable** = Current liabilities → Other current liabilities (statutory dues). Trade payables sit separately under current liabilities."

Q7. "Walk me through your month-end close for April." "1. Book all sales/purchases, reconcile to GST portal. 2. Run payroll — gross Rs 9,00,000, deduct EPF/ESI/PT/TDS. 3. **Provisions & accruals:** depreciation Rs 1,20,000, accrued electricity Rs 40,000, audit-fee provision Rs 25,000, prepaid insurance Rs 60,000 amortised at Rs 5,000/month. 4. **BRS** on HDFC xxxx4567. 5. GST set-off + GSTR-1 (11th) and 3B (20th). 6. TDS challan by 7th. 7. Closing stock Rs 45,00,000 (lower of cost/NRV). 8. Trial balance tie-out and MIS to the director."

Q8. "Depreciation provision entry for April?"

Dr	Depreciation	1,20,000	
	Cr	Accumulated depreciation	1,20,000

"Annual Rs 14,40,000 ÷ 12; Companies Act Schedule II useful lives for books, Income-tax block/WDV rates for the tax computation — the two differ, creating deferred tax."

Q9. "Priya Rao earns Basic 30,000 + HRA 15,000 + Special 10,000 = Rs 55,000 gross. Compute PF and PT (Telangana)." "EPF on basic capped at the Rs 15,000 ceiling: employee 12% = Rs 1,800; employer 12% = Rs 1,800 (EPS 8.33% = Rs 1,250 + EPF 3.67% = Rs 550). **ESI** — nil, gross > Rs 21,000 ceiling. **PT Telangana** — Rs 200/month (wage > Rs 20,000). Salary entry: Dr Salaries, Cr PF/ESI/PT/TDS payable, Cr Bank (net)."

Q10. "Company PBT is Rs 1,50,60,000. Two tax routes?" "25% + 4% cess (domestic co, turnover ≤ Rs 400 cr) or **22% u/s 115BAA + 10% surcharge + 4% cess** (no incentives, ~25.17% effective). At 25% route, tax ≈ Rs 39.16 L incl. cess, **PAT ≈ Rs 1,11,00,000**. 115BAA is chosen only if you're not using major deductions — it locks you in."

Q11. "e-invoicing and tax audit — do they apply to NTSP?" "e-invoicing: yes, turnover Rs 12 cr > Rs 5 cr threshold — IRN + QR mandatory. **Tax audit u/s 44AB:** normally > Rs 1 cr, but raised to Rs 10 cr since cash receipts and payments are each < 5%; NTSP is Rs 12 cr, so audit applies — **3CB-3CD due 30-Sep**, ITR-6 by 31-Oct."

Q12. "Live Tally task: I purchased goods Rs 55,00,000 + 18% GST intra-state. Voucher and ITC?"

"Gateway of Tally → Vouchers → **F9 Purchase:**

Dr	Purchases – goods	55,00,000	
Dr	Input CGST @9%	4,95,000	
Dr	Input SGST @9%	4,95,000	
	Cr	Creditor / Bank	64,90,000

ITC of Rs 9,90,000 flows to the electronic credit ledger once it's in GSTR-2B."

Q13. "Excel test: given a column of invoice values, sum only those > Rs 50,000 for 194Q. Formula?"

"=SUMIF(B2:B200,\">50000\",B2:B200) — or SUMIFS for multiple criteria (seller + date). For the 194Q base I'd compute =SUMIF(range,\">50000\") on the YTD-per-seller, then 0.1% on the amount exceeding Rs 50 lakh, using =MAX(0,total-5000000)*0.001."

Q14. "How do you defer ITC not yet in 2B?" "Book the purchase and its input tax, but in GSTR-3B claim ITC only to the extent in 2B (Rule 36(4)). The Rs 40,000 + 7,200 bill in books but not in 2B — I hold the Rs 7,200 in an 'ITC to be availed' ledger and claim it in the month it reflects."

Q15. "You spot a GSTR-2B item Rs 50,000 + 9,000 not in your books. Action?" "Don't claim it — no ITC without the underlying invoice and booking. I check whether it's a genuine missed purchase (then book it) or

a wrong GSTIN by the supplier (then it's their error). Claiming un-booked ITC triggers an ASMT-10 mismatch."

The deliverable — one-page FY2026-27 cheat-sheet

INCOME TAX — new regime (default), individual, FY2026-27

Slab	Rate
0 – 4,00,000	Nil
4 – 8 L	5%
8 – 12 L	10%
12 – 16 L	15%
16 – 20 L	20%
20 – 24 L	25%
> 24 L	30%

Rebate 87A: **Rs 60,000** (nil tax up to Rs 12 L taxable). Standard deduction (salary): **Rs 75,000**. **Company:** 25% (T/O ≤ Rs 400 cr) or 22% u/s 115BAA + surcharge + **4% cess**.

TDS — sections / rate / threshold (FY2026-27)

Sec	Payment	Rate	Threshold
192	Salary	slab	exemption limit
194C	Contractor	1% ind, 2% others	30k single / 1L p.a.
194H	Commission	2%	20k p.a.
194I	Rent (land/bldg)	10%	2.4L p.a.
194J	Professional	10% (2% tech)	50k p.a.
194Q	Goods (buyer T/O > 10cr)	0.1% over 50L	50L/seller

Deposit by **7th** of next month (March by 30-Apr). Returns **24Q/26Q**: 31-Jul, 31-Oct, 31-Jan, 31-May.

GST

- Returns: **GSTR-1** by 11th, **GSTR-3B** by 20th, **GSTR-9/9C** by 31-Dec of next FY.
- Set-off order:** IGST credit → IGST, then CGST, then SGST. CGST → CGST then IGST. SGST → SGST then IGST. **CGST ⊗ SGST never cross.**
- Blocked credits: **Sec 17(5)**. e-invoice > Rs 5 cr T/O. e-way bill > Rs 50,000 consignment.

PAYROLL

- EPF** 12% + 12% (employer = EPS 8.33% + EPF 3.67%), ceiling Rs 15,000.
- ESI** employee 0.75% + employer 3.25%, ceiling Rs 21,000. PF & ESI paid by **15th**.
- PT Telangana:** nil ≤ 15,000; Rs 150 for 15,001–20,000; **Rs 200** > 20,000.

TAX AUDIT 44AB: business > Rs 1 cr (→ Rs 10 cr if cash receipts & payments each ≤ 5%); profession > Rs 50 L. **3CA/3CB-3CD due 30-Sep; ITR-6 (audited co) 31-Oct.**

KEY FORMS: ASMT-10/11 (GST scrutiny), DRC-03 (voluntary pay), 143(1) (intimation), 154 (rectification), 26AS/AIS (TDS credit), 16/16A (TDS certs), 3CB-3CD (tax audit).

How it's checked

The FC scores you on: (i) do your **journal entries balance** and use the right heads; (ii) do you know the **set-off order cold** (CGST/SGST never cross); (iii) do TDS section-rate-threshold come out instantly; (iv) does your BRS **tie both sides**; (v) can you actually **drive TallyPrime** (voucher shortcuts F7/F8/F9) and Excel (SUMIF/SUMIFS/VLOOKUP). A wrong set-off or a made-up threshold is an instant flag.

Common mistakes & red flags

Mistake	Why it fails
Cross-setting CGST against SGST	Not allowed — cash short-paid, GST notice
Quoting old TDS thresholds	Signals you're not current on FY2026-27
BRS that doesn't reconcile to the rupee	Shows you don't understand timing differences
Claiming ITC not in 2B	Rule 36(4) breach → ASMT-10
Confusing Schedule II (dep, books) with Income-tax WDV rates	Deferred tax errors
Saying "115BAA is always better"	It's a lock-in; only if no incentives used

On the job & in the interview

The **"why"**: an accounts/tax role is 20% concept, 80% *"can you close a month and file a return without a notice bouncing back."* Interviewers test recall (rates, sections) because those are the daily reflexes, then a **case** ("walk me through month-end") because that's the actual job. Speak in the jargon — set-off order, 36(4), 44AB, 3CD, 26AS, deferred tax, Schedule III heads.

Three closing interview questions with strong answers:

"Why do books and tax depreciation differ?" — "Books follow Companies Act Schedule II useful lives (SLM/WDV per policy); tax follows Income-tax block-of-assets WDV rates. The gap creates a timing difference and hence **deferred tax** under AS 22 / Ind AS 12."

"A vendor asks why you deducted TDS on his full invoice including GST." — "TDS under 194J/194C is on the taxable value **excluding GST** if GST is shown separately on the invoice (CBDT circular). If it's not separately shown, I deduct on the gross. So I'd deduct on the fee, not the GST component."

"How do you make sure a GST return never triggers a notice?" — "Reconcile three ways before filing: sales in books = GSTR-1, ITC claimed ≤ GSTR-2B (Rule 36(4)), and 3B = 1. Defer ITC not in 2B, never claim un-booked 2B items, and match turnover to 26AS at year-end. If those tie, the portal's auto-scrutiny has nothing to flag."